



Ministry of Investment,
Industry and Trade
of the Republic of Uzbekistan



FOREIGN INVESTORS COUNCIL
UNDER THE PRESIDENT OF
THE REPUBLIC OF UZBEKISTAN



RAIC-CAC
REGIONAL ALLIANCE
OF INVESTMENT COUNCILS
OF CENTRAL ASIA AND THE CAUCASUS

Central Asia & Caucasus: Investment Priorities

JUNE 2026

Draft Report (for discussion only)

Central Asia & Caucasus: Investment Priorities

JUNE 2026¹

¹ This preliminary draft has been prepared by the Central West Regional Department and the Economic Research and Development Impact Department of the Asian Development Bank. The report has benefited from survey findings administered by Foreign Investment Council (FIC), Uzbekistan.

Contents

1. Executive Summary	4
1.1 Potential Investment Priorities	4
1.2 Key Constraints.....	5
1.3 Policy Recommendations.....	6
2. Regional Investment Context, Trends, and Priorities	6
3. Key Constraints in the Investing Environment	13
3.1 Regulatory environment	14
3.2 Business environment.....	16
3.3 Financial access.....	18
4. Cross-Border Investments and Regional Project Pipelines.....	20
4.1 Green Energy.....	20
4.2 Transport/Logistics.....	25
4.3 Digital Connectivity and Regional Digital Economy	28
4.3.1 Core digital infrastructure.....	30
4.3.2 Sector-specific digital investment opportunities	32
4.3.3 Value for money and investment sequencing	34
4.3.4 Implementation risks and mitigation.....	35
4.4 Agricultural Value Chains.....	36
5. Case Studies and Replicable Practices.....	39
5.1 Armenia.....	39
5.2 Georgia	39
5.3 Kyrgyz Republic	40
5.4 Tajikistan	40
5.5 Turkmenistan.....	40
5.6 Uzbekistan	41
6. Policy Recommendations for Regional Cooperation	41
6.2 Develop a credible, publicly accessible regional investment pipeline.....	42
6.3 Strengthen financial systems and broaden available financing instruments.....	42
6.4 Improve infrastructure and trade facilitation along the Middle Corridor.....	42
6.5 Invest in digital connectivity as foundational infrastructure.....	43
6.6 Consolidate RAIC-CAC's role as a platform for investment policy coordination	43

7. References.....	44
8. Annex.....	45

1. Executive Summary

This policy paper, the first flagship analytical output of the Regional Alliance of Investment Councils of Central Asia and the Caucasus (RAIC-CAC)², assesses investment trends, priorities, constraints, and opportunities across eight CAC members.

Economies in Central Asia and the Caucasus (CAC) have experienced significant economic and institutional changes over the past twenty years. Following decades of centralized economic planning, they have transitioned to open, market-based regimes, with trade and investment as important engines for economic growth. Despite notable progress, the region's investment landscape has been shaped by its historical reliance on extractive industries with limited focus on investment in other sectors. To a large extent, these developments were favored by technological change and strong institutional arrangements that allowed economies to rely on sectors with high exposure to international demand and to leverage the institutional linkages that resulted from the former centrally planned model.

As in other emerging economies, Foreign Direct Investment (FDI) in Central Asia and Caucasus has been a vector for industrialization and structural transformation. Several economies have embraced open investment regimes and upgraded their investment frameworks to become more attractive to foreign investors and capture a higher value added from investment projects. However, such efforts remain focused on the bulk of international companies that primarily operate in dominant sectors, particularly extractive industries (mining, coal, and gas). As economies in the region transition to more sophisticated value chains, diversify and upgrade their production bases, investment opportunities have emerged. Such investment appetite represents an opportunity for regional investors who have also expanded the scope of their operations.

Since the early 2000s, the CAC region has attracted significant FDI driven by strong commodity demand. While cross-border investment remained relatively elevated through 2020, it has since declined in line with broader global trends, driven by geopolitical tensions and structural shifts in capital allocation. Outward FDI from the region remains comparatively modest. EU remains the primary FDI partner for several CAC economies, while the US, the PRC, Russia, and other Asian countries maintain a significant share of inward FDI in the region.

1.1 Potential Investment Priorities

The paper identifies four priority sectors in which cross-border investment opportunities are most significant and in which regional cooperation can generate the highest returns.

- **Green Energy:** The region holds enormous untapped potential in renewable energy. Strategic FDI inflows into green energy transition projects accounted for up to 90% of all strategic sector FDI in the CAC region in 2024. In the energy sector, major initiatives (underway or in the pipeline) with huge investment potential include: the Kambarata HPP-1 (Kyrgyz Republic), the Rogun Hydropower Project (Tajikistan), the CASA-1000 cross-border power project, the Black Sea Submarine Electricity Cable (Georgia–Azerbaijan–Europe), and the TAPI and TUTAP pipelines.

² CAC comprises Armenia, Azerbaijan, Georgia, Kazakhstan, the Kyrgyz Republic, Tajikistan, Turkmenistan, and Uzbekistan.

- **Transport and Logistics:** Situated at the intersection of East-West and North-South trade axes, the CAC region serves as a natural transit bridge for global trade and commerce. The Middle Corridor, with projected cargo volumes of 11 million tons annually by 2030, has emerged as a critical freight route. CAC region presents diverse investment opportunities in the transport and logistics sectors: the Anaklia Deep Sea Port (Georgia), the China–Kyrgyzstan–Uzbekistan (CKU) Railway, the New Tashkent International Airport PPP (Uzbekistan), the TRIPP multimodal corridor (Armenia), and the completed Ashgabat–Turkmenabat Highway (Turkmenistan).
- **Digitalization:** Alongside strategic industries, digital sectors have attracted growing attention from foreign investors. Digital services and solutions and foundational infrastructure account for the bulk of digital FDI in the CAC region. Within digital services and solutions, financial services dominate, accounting for approximately 83% of total inflows in this subsector from 2006 to 2025. Within the framework of the CAREC Digital Corridor and Trans-Caspian fiber connectivity, investment opportunities are abundant in the CAC region to strengthen the fiber-optic backbone, set up IXPs and data centers, operationalize digital trade corridors, and establish regional single-window interoperability.
- **Agriculture Value Chains:** Agriculture accounts for 10–20% of regional GDP and 30–40% of total employment, making it a critical sector for economic resilience. Fragmented cross-border trade, outdated SPS systems, and high FDI restrictions in land-based activities constrain the sector's potential. CAC region needs huge investment in SPS/food safety modernization, corridor-based value chains, climate-resilient agriculture, livestock and rangeland systems, digital agriculture, and food & nutrition security.

1.2 Key Constraints

In spite of favorable fundamentals such as strategic location, natural resource endowments and growing innovation capacity, several constraints limit investment growth across the region. Survey findings of the Foreign Investment Council (FIC) of Uzbekistan highlight the following as the most salient barriers to FDI in the region:

- Legal and institutional frameworks across CAC economies remain divergent and complex, creating compliance burdens. Foreign equity restrictions are most prominent in primary industries, real estate, and media sectors.
- Inconsistent enforcement of investment regulations and weak dispute resolution mechanisms discourage cross-border FDI. Foreign firms in several CAC economies face red tape, limited access to key legislation in accessible languages, and strong incentives to operate informally rather than enter formal supply chains.
- Underdeveloped capital markets and a weak banking sector with its complex procedures, costs, and collateral requirements constrain project bankability across the region.
- Geopolitical tensions and geoeconomic realignments pose risks to investment growth in the region: the ongoing conflict in Ukraine continues to cloud investment sentiment across economies with close ties to the Russian Federation, while the 2026 Middle East conflict

is projected to reduce GDP growth in the CAC by up to 1.6 percentage points and raise inflation to 4.5% in 2026–2027. These external shocks reinforce the case for diversification and regional resilience-building.

1.3 Policy Recommendations (for discussion)

Based on the analysis and survey findings, the paper identifies the following priority areas for regional cooperation action in attracting FDI:

- CAC economies should progressively align investment laws, PPP frameworks, business registration procedures, tax administration standards, licensing regimes, and mutual recognition of certifications with phased convergence toward OECD standards. RAIC-CAC should coordinate a joint reform-tracking mechanism and peer review process.
- RAIC-CAC should lead the annual publication of a cross-border project pipeline across all four priority sectors, formatted to meet development finance institution disclosure standards and differentiated by project readiness tier.
- CAC economies should create enabling legislation for alternative investment vehicles (private equity, venture capital, green bonds, SAFE instruments) and develop a coordinated regional blended finance facility - drawing on best practices from Armenia's SAFE framework, Georgia's green bond issuance, and Uzbekistan's Alternative Investment Funds legislation.
- To realize Middle Corridor's potential in regional commercial connectivity, CAC countries should adopt a coordinated digital trade facilitation agenda, adopting interoperable single windows, electronic pre-arrival document processing, streamlining cross-border customs processes and infrastructure development.
- CAC economies should prioritize route-diverse fiber backbone development, national and regional IXPs, and rural last-mile connectivity, while positioning the CAC pipeline to access ADB's Asia-Pacific Digital Highway financing window (\$20 billion by 2035).
- RAIC-CAC, as a regional coordination mechanism, is well-positioned to serve as region's primary platform for coordinating investment policies, consolidating project pipelines, facilitating peer learning among RAIC members, and amplifying collective voice of CAC countries in dialogue with international investors.

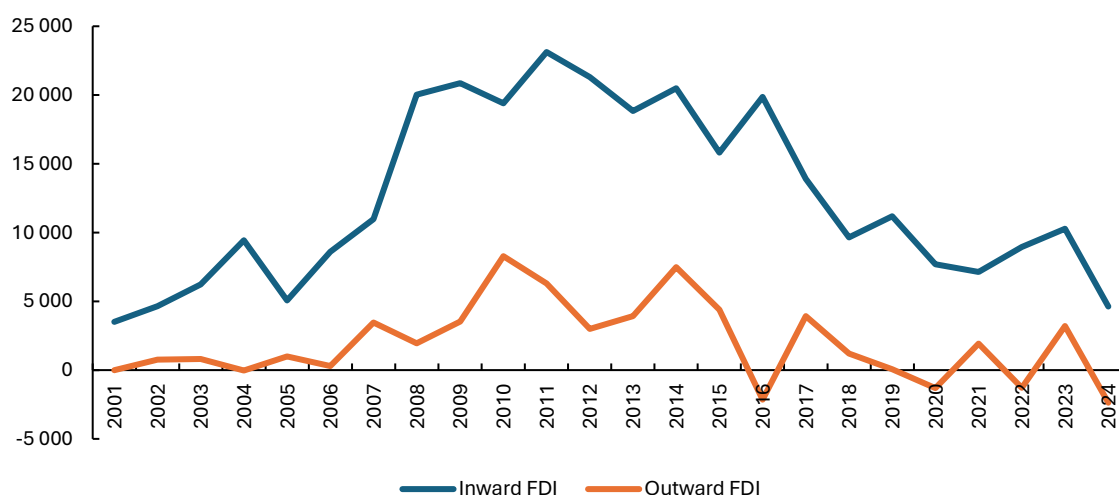
2. Regional Investment Context, Trends, and Priorities

Balance of Payments (BOP) data provides a broad overview on FDI trends for the CAC region. The CAC region benefitted from significant FDI inflows in the early part of the 2000s, favored by increasing demand for commodities. The trend continued with inward FDI flows remaining relatively high up to 2020. Following the trend in developing Asia and other emerging regions, FDI has gradually declined in recent years as a result of geopolitical tensions, sectoral and geographic concentration, unfavorable financial conditions and other structural trends. Regarding outward

FDI, the CAC region has not traditionally been a large exporter of capital, and its role remains relatively minor in comparison to inward investment.

A glance at individual economies provides a more nuanced picture of their FDI profile (Annex Figure A1). Some economies in the region, including Georgia and Uzbekistan, have experienced steady inflows of FDI over the past 2 decades, becoming referents in the region. Other economies (i.e., Armenia, Azerbaijan, Kyrgyz Rep., Tajikistan) exhibit a more uneven trend in attracting FDI, which is not unique. FDI projects are subject to large volatility.

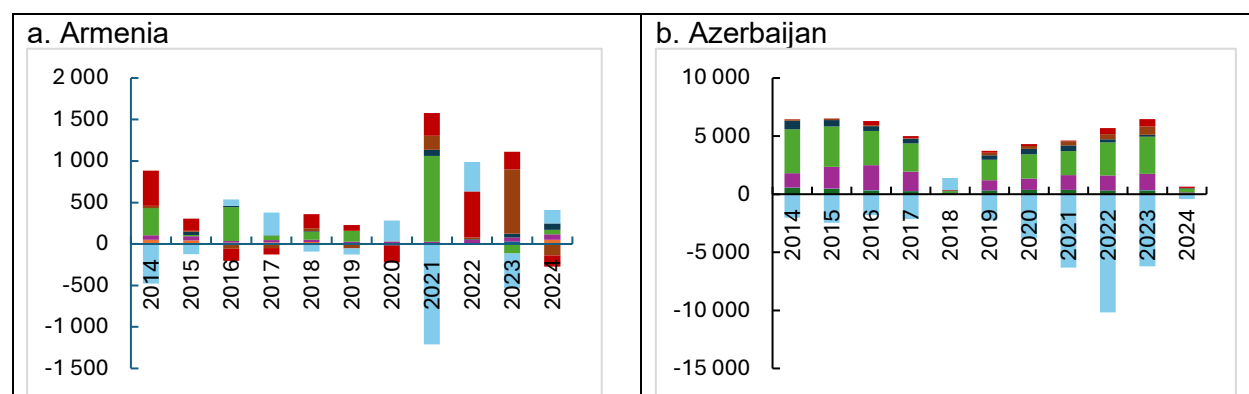
Figure 2.1 Total FDI Inflows and Outflows to CAC Region (in \$ million)



Source: ADB calculations using data from UN Trade and Development. World Investment Report 2025 Statistical Annex Tables. <https://unctad.org/topic/investment/world-investment-report> (accessed July 2025).

While the EU is the dominant source of inward FDI across the CAC region, investment patterns vary considerably at the economy level (Figure 2.2). The EU's presence is most pronounced in Azerbaijan, Georgia, and Kazakhstan, where it is complemented by US investments. In the Kyrgyz Republic and Tajikistan, the PRC has emerged as the leading investor, reflecting its deepening economic engagement with these economies. Russia represents a significant source of investment for Armenia, while other Asian economies feature prominently in Tajikistan.

Figure 2.2 Total FDI Inflows by Source Economy





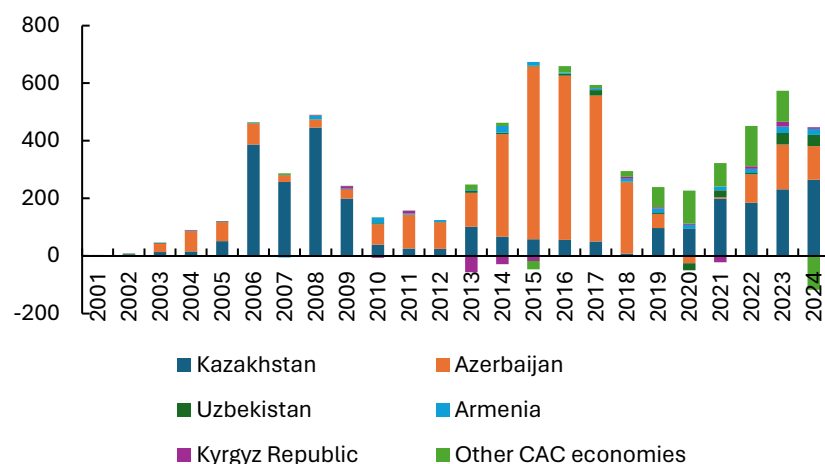
CAC = Central Asian economies, EU = European Union, PRC = People's Republic of China.

Note: Negative values for inward FDI represent disinvestments. This implies that at least one of its three components (equity capital, reinvested earnings or intracompany loans) is negative and not cushioned or offset by other components. Source: ADB calculations using data from the ASEAN Secretariat. ASEANstats Data Portal. <https://data.aseanstats.org> (accessed July 2025); CEIC Data Company; Eurostat. Balance of Payments. <https://ec.europa.eu/eurostat> (accessed July 2025); International Monetary Fund. World Economic Outlook Database, April 2025. <https://www.imf.org/en/Publications/WEO/weo-database/2025/April> (accessed April 2025); and UN Trade and Development. World Investment Report 2025 Statistical Annex Tables. <https://unctad.org/topic/investment/world-investment-report> (accessed July 2025).

Intra-CAC investment, reflecting capital flows between member economies, remains modest compared to inward FDI from external sources, yet it has also shown a gradual increase in recent years. Investment flows are heavily concentrated among a small number of economies.

Azerbaijan and Kazakhstan together account for the bulk of intra-regional inflows, while Uzbekistan, Georgia, and Armenia have recorded more modest but growing receipts.

Figure 2.3: Investment among CAC economies, by source economy

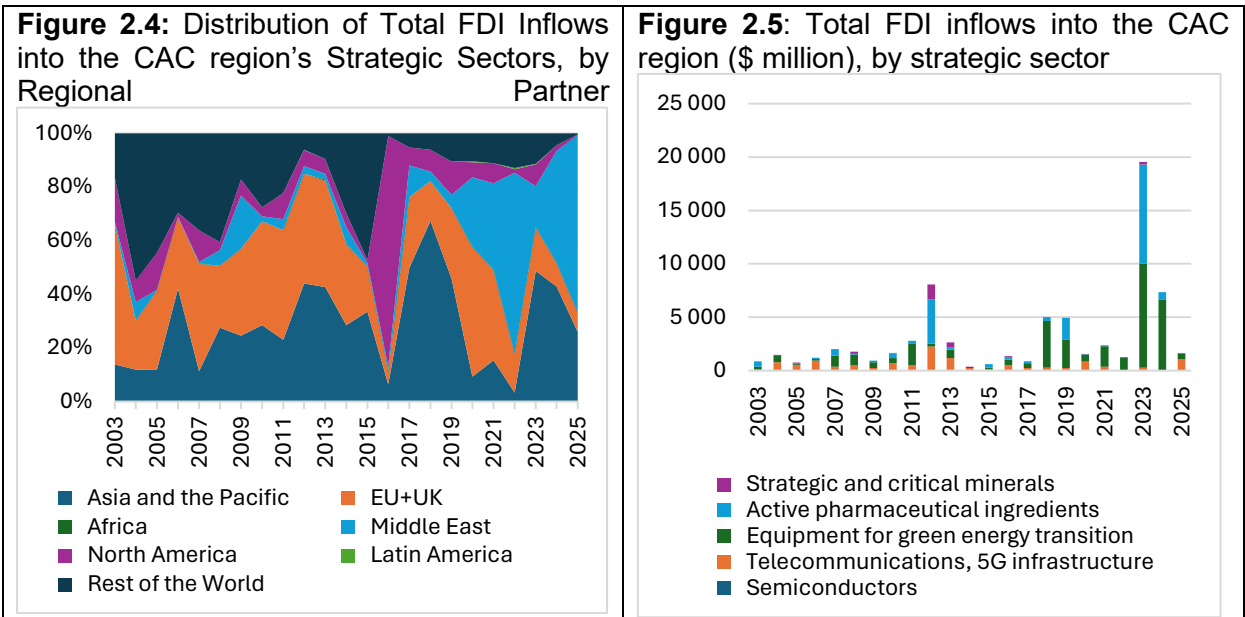


CAC = Central Asian economies, EU = European Union, PRC = People's Republic of China.

Note: Negative values for inward FDI represent disinvestments. This implies that at least one of its three components (equity capital, reinvested earnings or intracompany loans) is negative and not cushioned or offset by other components. Source: ADB calculations using data from the ASEAN Secretariat. ASEANstats Data Portal. <https://data.aseanstats.org> (accessed July 2025); CEIC Data Company; Eurostat. Balance of Payments. <https://ec.europa.eu/eurostat> (accessed July 2025); International Monetary Fund. World Economic Outlook Database, April 2025. <https://www.imf.org/en/Publications/WEO/weo-database/2025/April> (accessed April 2025); and UN Trade and Development. World Investment Report 2025 Statistical Annex Tables. <https://unctad.org/topic/investment/world-investment-report> (accessed July 2025).

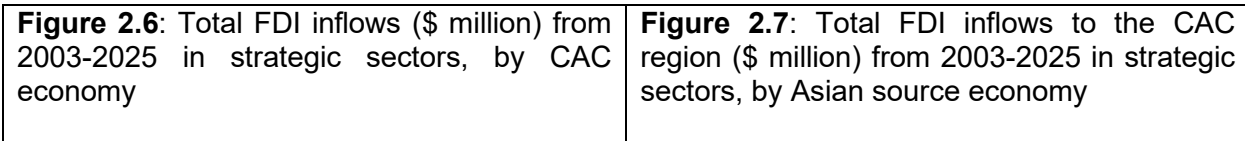
Strategic sectors such as critical minerals, semiconductors, green energy transition equipment, telecommunications, and pharmaceuticals have emerged as key drivers of cross-border investment amid growing fragmentation and geographic concentration of capital flows. A breakdown of strategic sector FDI in the CAC region shows that the EU +UK and Asia and the Pacific are the two largest regional sources, though their relative dominance has shifted over time (Figure 2.4). The Middle East has also grown into a significant contributor, with inflows rising markedly from 2022 onward and reaching USD 12.9 billion in 2024.

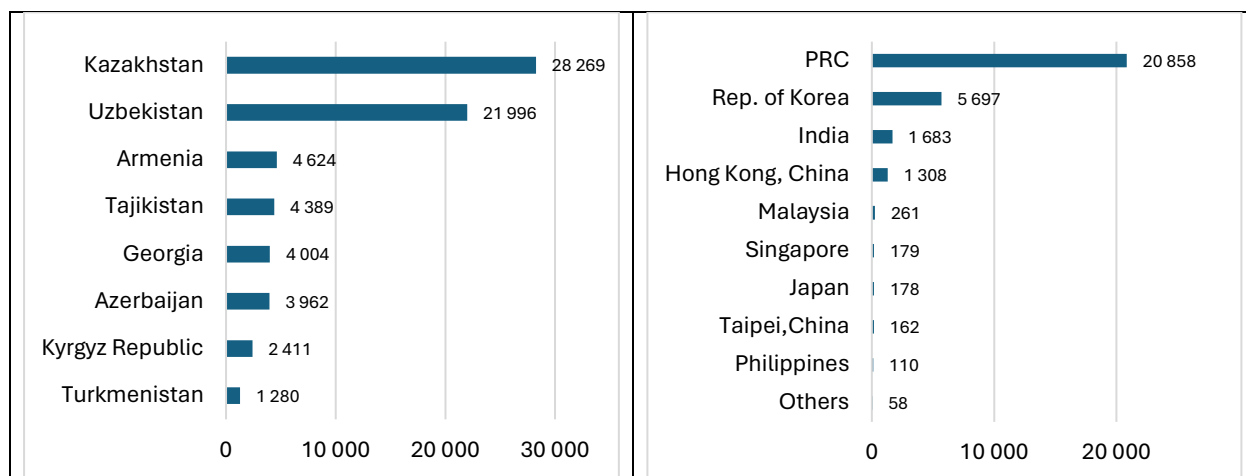
FDI inflows into the CAC region's strategic sectors have grown substantially, with a marked acceleration after 2020 (Figure 2.5). Three sectors account for the bulk of this investment: active pharmaceutical ingredients, equipment for green energy transition, and telecommunications.



EU = European Union, UK = United Kingdom.
Source: ADB calculations using data from Financial Times. fDi Markets; and Moody's Analytics. Orbis M&A (formerly Zephyr M&A Database) (accessed June 2025); and methodology based on UNCTAD (2025).

Among CAC economies, Kazakhstan and Uzbekistan receive the largest FDI inflows in strategic sectors (Figure 2.6). Within Asia, East Asian economies are the dominant source, with the PRC alone accounting for 68 per cent of total Asian investment, followed by the Republic of Korea and Hong Kong, China (Figure 2.7). This investment is concentrated mainly in green technologies and pharmaceuticals. Green energy equipment attracts the broadest participation across Asian sources, while pharmaceuticals are dominated in value terms by the PRC and the Republic of Korea. Telecommunications and 5G infrastructure draw a wider investor base but smaller projects. FDI in strategic sectors among CAC members, by contrast, remains limited. The only recorded transactions are between Azerbaijan and Georgia in the equipment for green energy transition sector, with Georgia investing USD 5.7 million in Azerbaijan in 2007 and Azerbaijan directing USD 15.6 million into Georgia in 2017.





PRC = People's Republic of China, EU = European Union, UK = United Kingdom, US = United States.

Source: ADB calculations using data from Financial Times. fDi Markets; and Moody's Analytics. Orbis M&A (formerly Zephyr M&A Database) (accessed June 2025); and methodology based on UNCTAD (2025).

Alongside strategic industries, digital sectors have attracted growing attention from foreign investors. The EU and the UK consistently represent the largest share of digital sector FDI into the CAC region from 2003 to 2025 (Figure 2.8). Asia and the Pacific has maintained a steady presence, while the Middle East has emerged as a growing contributor to digital investment in CAC economies in recent years. North America, in contrast to Southeast Asia, plays a comparatively minor role.

In terms of sectoral composition, digital services and solutions and foundational infrastructure account for the bulk of digital FDI in the CAC region, peaking in 2007 and 2012 (Figure 2.9). Within digital services and solutions, financial services dominate, accounting for approximately 83% of total inflows in this subsector across 2006 to 2025. A modest recovery is visible from 2021, with digital adoption and industrial development gaining a slightly larger share in recent years, though overall volumes remain below earlier peaks.

Figure 2.8: Distribution of Total FDI Inflows into the CAC region's Digital Sectors, by Regional Partner

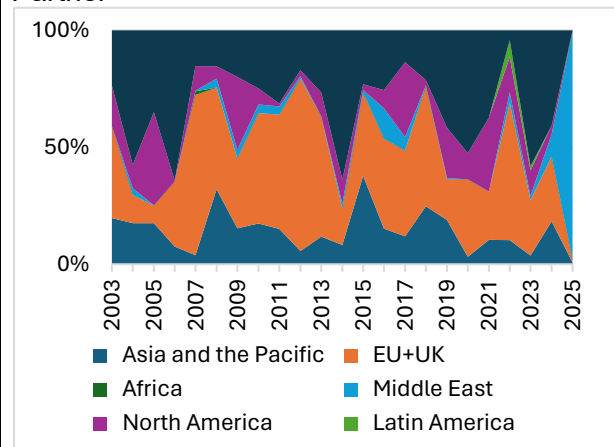
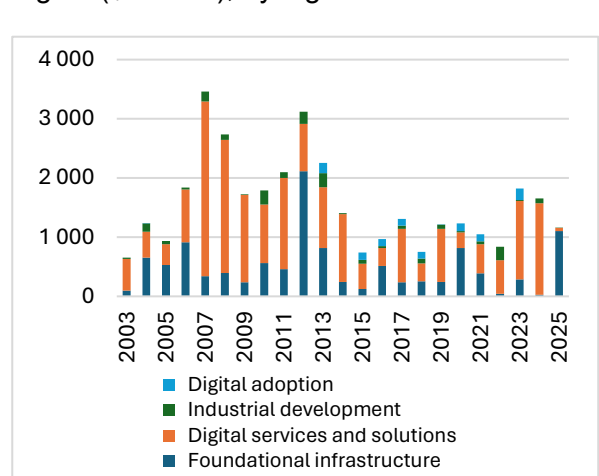


Figure 2.9: Total FDI inflows into the CAC region (\$ million), by digital sector



EU = European Union, UK = United Kingdom.

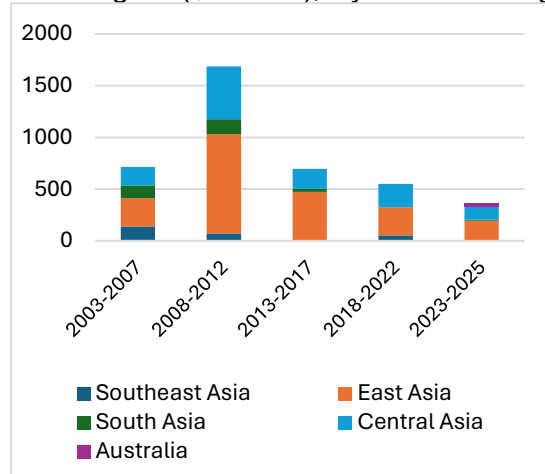
Source: ADB calculations using data from Financial Times. fDi Markets; and Moody's Analytics. Orbis M&A (formerly Zephyr M&A Database) (accessed June 2025); and methodology based on UNCTAD (2025).

Digital FDI inflows into the CAC region peaked during 2008–2012 before declining later. East Asia has consistently been the largest source of FDI across all periods, followed by intra-subregional flows among CAC economies (Figure 2.10 Panel A). The importance of Southeast Asian and South Asian investments in the CAC regional has gradually declined over time, while Australia emerged as a modest FDI source from 2018.

Among CAC economies, Georgia is the main destination for FDI in the digital economy, attracting USD 343.9 million from 2003 to 2025, followed by Azerbaijan (USD 274.8 million) and Uzbekistan (USD 223.3 million) (Figure 2.11). Kazakhstan, on the other hand, is the most active outbound digital investor in the subregion, with total outflows of USD 691.7 million. The strongest bilateral FDI flows take place between Georgia and Azerbaijan, totaling USD 239 million. Tajikistan and Turkmenistan play a limited role, contributing only a small share of total intra-regional digital investment flows.

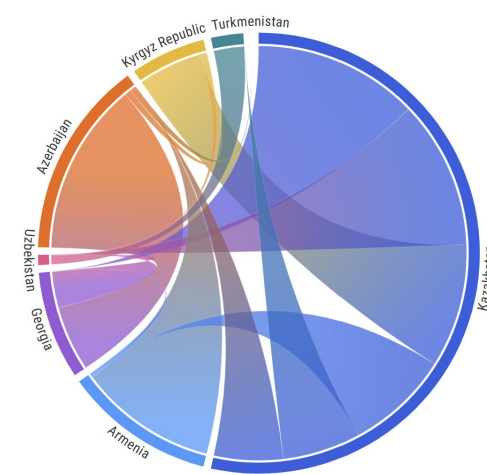
Digital FDI within CAC economies is heavily concentrated in digital services and solutions, accounting for more than 90% all flows (USD 1,229 million), while industrial digital development contributes less than 1%. Looking at specific sectors, financial services dominate within digital services and solutions, representing 97% of the subregional total (USD 1,194 million), with software publishing (2.1%), computer programming activities (0.7%), and web portals (0.5%) making up a marginal share. This concentration has been persistent across almost all periods. However, the 2023–2024 period signals some signs of diversification. Financial services' share declined to 82%, while software publishing and web portals together accounted for 18% of flows. Whether this marks a structural shift toward broader digital sector investment or reflects a temporary dip in financial services activity warrants a closer look.

Figure 2.10: Total digital FDI inflows into the CAC region (\$ million), by Asian subregion



Source: ADB calculations using data from Financial Times. fDi Markets; and Moody's Analytics. Orbis M&A (formerly Zephyr M&A Database) (accessed June 2025); and methodology based on UNCTAD (2025).

Figure 2.11: Intra-CAC digital FDI flows, 2003-2025



Note: Note: Each arc represents a country, sized by its total investment flows. Ribbons connect bilateral pairs, with width proportional to investment volume (USD million, 2003–2025).

	Source: ADB calculations using data from Financial Times, fDi Markets; and Moody's Analytics. Orbis M&A (formerly Zephyr M&A Database) (accessed June 2025); and methodology based on UNCTAD (2025).
--	--

3. Key Constraints in the Investing Environment

CAC economies are well-positioned to attract greater investments, owing to their strategic location between Europe and the rest of Asia, abundant natural resources, and growing innovation capacity. Yet significant barriers remain, constraining investment growth in the region.

Legal and institutional frameworks across CAC economies are often fragmented, creating challenges in interpreting and enforcing investment regulations. Divergent customs procedures and standards have typically increased trade costs and delayed cross-border projects. The availability of long-term financing needed for priority investment projects is limited, while underdeveloped capital markets weaken project bankability.

More recently, regional investments also face heightened exposure to geopolitical tensions and economic uncertainties. Higher energy prices linked to the conflict in the Middle East are projected to reduce GDP growth in CAC economies (including Turkiye) down to 3.8% and raise inflation to 22.5% in 2026 (ADB 2026a). In addition, the region’s close ties with the Russian Federation mean that the ongoing invasion of Ukraine continues to pose significant risks to sustainable investment growth and economic development.

Several challenges in the investment environment were flagged by CAC economies through the survey (Table 3.1). Among these barriers, high relevance is given to challenges on regulatory frameworks, legal predictability, and access to finance.

Table 3.1. Relevance of Investment Environment Challenges

	Armenia	Georgia	Kyrgyz Republic	Tajikistan	Turkmenistan	Uzbekistan
Regulatory complexity						
Legal predictability						
Access to finance						
Infrastructure gaps						
Trade and customs barriers						
Sector-specific regulations						
Low Medium High						

Note: The chart indicates level of importance given by economies on various barriers in the investment environment. Source: ADB Central Asia and Caucasus Investment Priorities survey results.

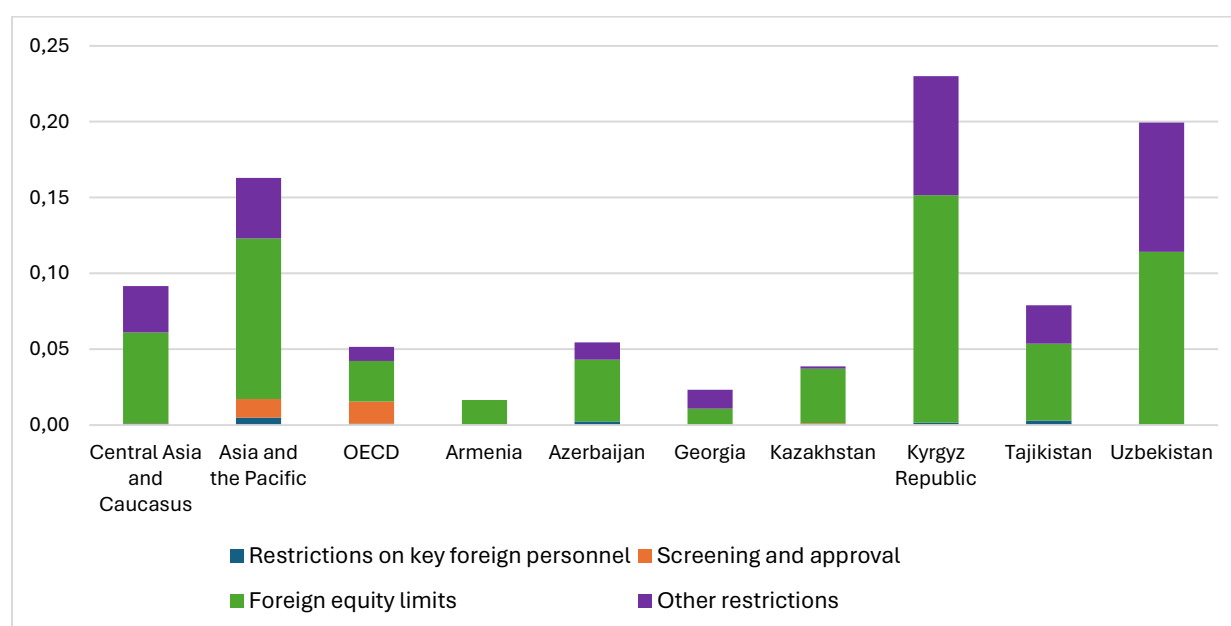
Addressing these key constraints is essential for CAC economies to unlock their full potential and attract more investments. A deeper analysis of the issues across CAC economies reveals common regional issues that can be mitigated by fostering coherence in legal and institutional frameworks, empowering financial systems, and leveraging digital solutions, among other measures.

3.1 Regulatory environment

Foreign investors face varying levels of regulatory restrictions

Recognizing the critical role of FDI, CAC economies have developed legal and institutional frameworks. However, these investment frameworks are often fragmented across the economies, which makes attracting foreign investment difficult especially in non-resource sectors (OECD 2021). Based on OECD's FDI Regulatory Restrictiveness Index, the regulatory environment for FDI in the CAC region remains limited compared to the OECD average (Figure 3.1). Economies with high restrictiveness levels include the Kyrgyz Republic, Tajikistan, and Uzbekistan. Among investment restrictions, foreign equity limits have been the most prominent barriers to foreign investment flows in the region.

Figure 3.1. FDI Regulatory Restrictiveness Index



FDI = foreign direct investment, OECD = Organisation for Economic Co-operation and Development.

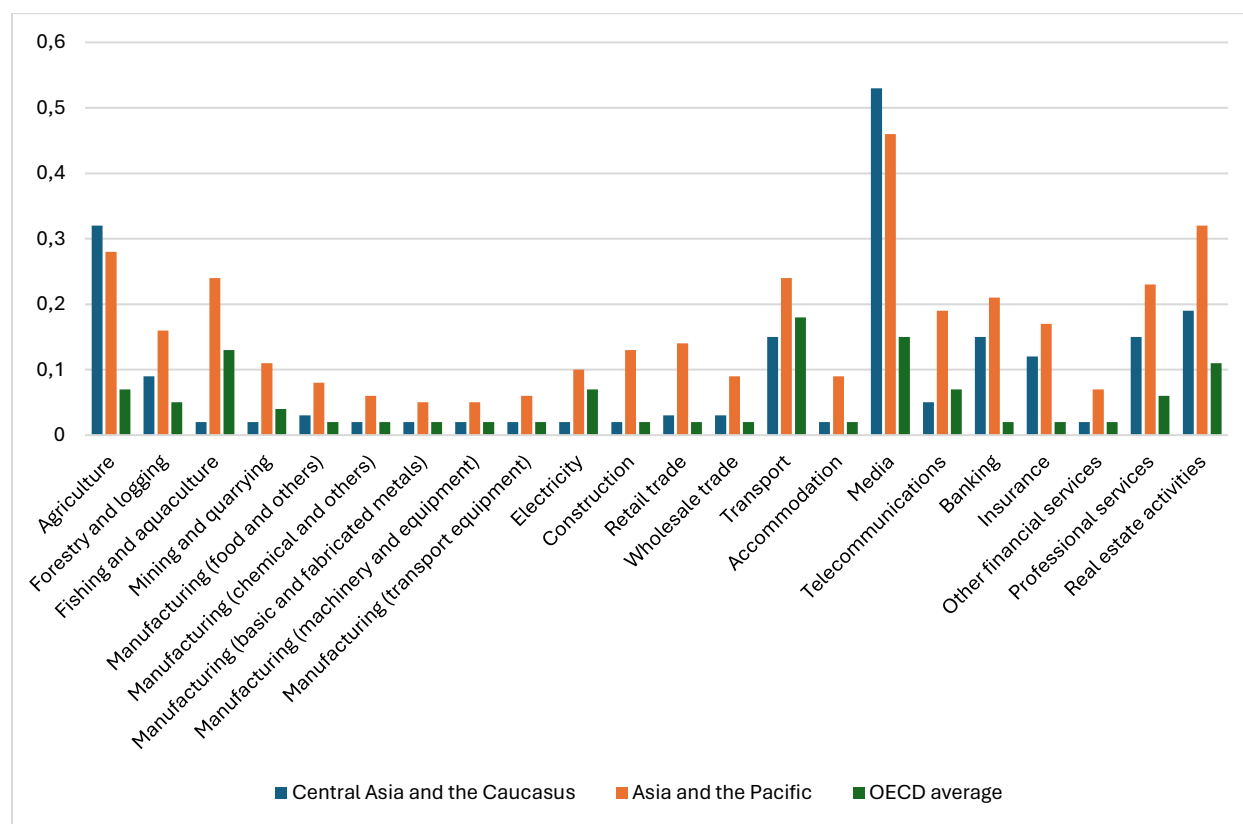
Note: The OECD's FDI Regulatory Restrictiveness Index measures policy restrictions on a scale from 0 (full open to FDI) to 1 (full closed).

Source: ADB calculations using from the OECD. [FDI Regulatory Restrictiveness Index Scores](#). (accessed 14 May 2026).

At the same time, restrictions at the sectoral level are uneven in CAC economies (Figure 3.2). The region's manufacturing sector tends to be the most liberalized compared to other industries, with similar levels to the OECD average. In contrast, land-based activities such as agriculture, forestry and logging, and real estate activities show more stringent environments. As in other services sectors, foreign investments in media remain highly restricted and above the average Asia-Pacific and OECD.

CAC economies exhibit high and sometimes divergent levels of FDI restrictiveness by major sector (Figure 3.3). Compared to the rest of the region, the regulatory environment for foreign investments in Kyrgyz Republic and Uzbekistan is more limited especially in the primary sector, services, and real estate. Tajikistan's policy environment also remains restrictive, whereas Armenia and Georgia tend to be more liberalized.

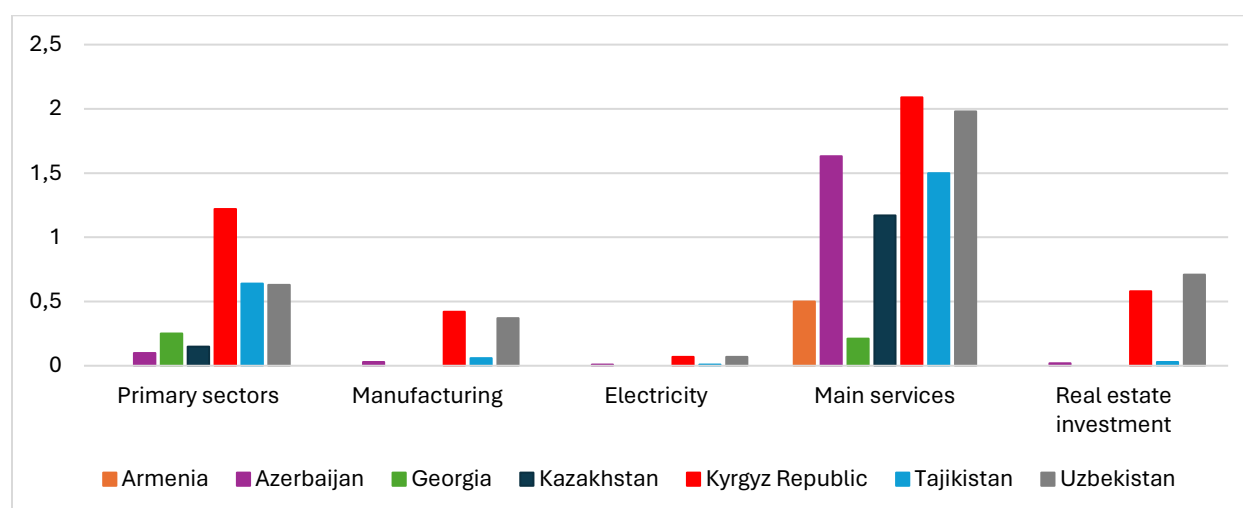
Figure 3.2. FDI Regulatory Restrictiveness Index by Sector (unweighted scores)



FDI = foreign direct investment, OECD = Organisation for Economic Co-operation and Development.

Note: The OECD's FDI Regulatory Restrictiveness Index measures policy restrictions on a scale from 0 (full open to FDI) to 1 (full closed). Scores presented here do not account for sector weights used to compute total economy scores. Source: ADB calculations using from the OECD. [FDI Regulatory Restrictiveness Index Scores](#). (accessed 14 May 2026).

Figure 3.3. FDI Regulatory Restrictiveness Index by Major Sector (unweighted scores)



Note: The scores presented here do not account for sector weights used to compute total economy scores. Primary sectors include agriculture; forestry and logging; and fishing and aquaculture. Manufacturing covers food products and others; chemical, rubber, plastics, fuel products, and other non-metallic mineral products; basic metals and fabricated

metal products; machinery and equipment; and transport equipment. Main services include mining and quarrying; construction; retail trade; wholesale trade; transport; accommodation, food services, arts, entertainment, and recreation; media; telecommunications; banking; insurance; other financial services; and professional services. Source: ADB calculations using from the OECD. FDI Regulatory Restrictiveness Index Scores. (accessed 14 May 2026).

Restrictions on foreign ownership of land remains an issue for some CAC economies. Particularly for agricultural land, foreigners are prohibited from owning land used for agriculture and forestry which can undermine the potential of the region's agricultural sector for growth and productivity. Instead, restrictive conditions are commonly put in place that permit ownership or leasing of land properties. This includes allowing foreign investors to own land in Kazakhstan for business purposes, while foreigners can lease land for a long period of time in Tajikistan.

High restrictions are also present in digital sectors, such as media and telecommunications to safeguard critical and sensitive infrastructure from foreign equity. For instance, foreign ownership in radio, television, and print media in Uzbekistan are capped at 30% (OECD 2025a) and up to 50% in Kyrgyz Republic (OECD 2021).

Differential treatment on foreign investors, which includes foreign equity caps and discriminatory investment screening, can deter the potential of investment for domestic and regional growth. While reforms have been put in place in CAC economies to gradually open up investments in highly restrictive sectors, such as primary industries and services, further reforms are needed to sustain an open and non-discriminatory environment for foreign investments.

3.2 Business environment

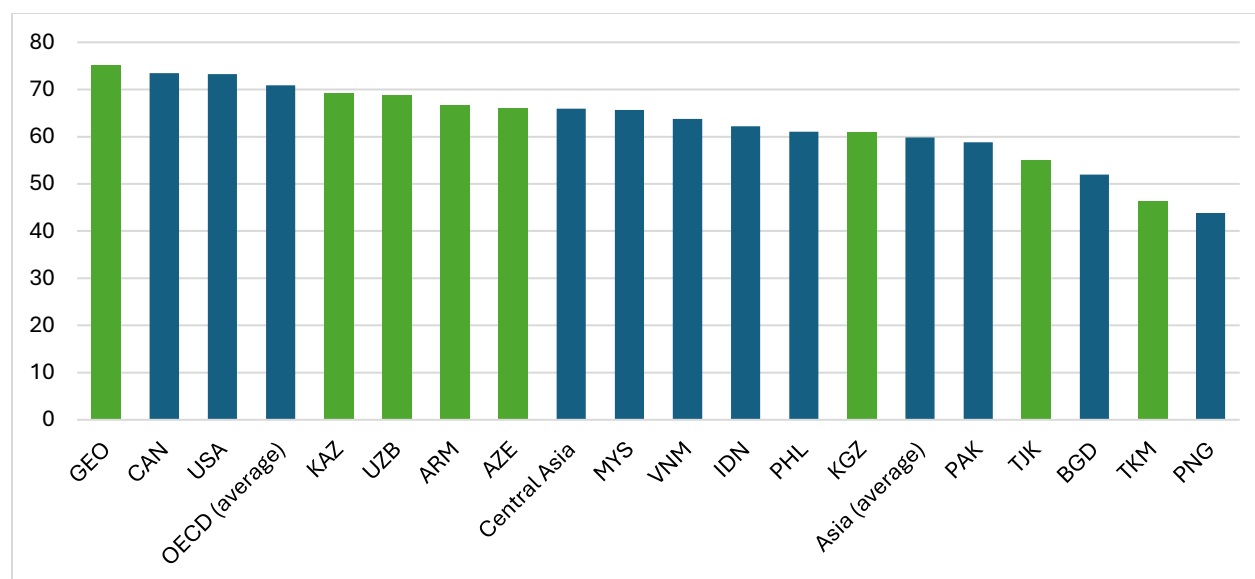
Complex investment regulations create gaps and challenges for foreign businesses

Although a more liberalized legal environment is crucial for facilitating investment growth in Central Asia and the Caucasus, challenges may still emerge when regulations are enforced weakly and inconsistently. Information from the survey among Foreign Investment Councils (FICs) suggests that divergent rules governing business entry and registration, labor practices, tax administration, and dispute resolution mechanisms discourage foreign investors from engaging in cross-border projects and can lead to significant delays in project implementation.

Despite government efforts to modernize and digitize procedures, foreign firms in Central Asia often face heavy administrative burdens (OECD 2021). Different laws and regulations make compliance both costly and time-consuming, and in many cases incentivizes businesses to operate informally.

Business readiness conditions also underline differences across CAC economies, according to the World Bank B-READY Index (Figure 3.4). The B-READY Index measures both the regulatory framework and public services directed at firms, and the efficiency as to which these are operationalized. Estimates for 2025 reveal that economies in the Caucasus – Armenia, Azerbaijan, and Georgia – better than most Central Asian counterparts. Notably, Georgia ranks first among CAC economies and even surpasses the average business readiness score of OECD countries. By contrast, Tajikistan and Turkmenistan occupy the lowest ranks, falling below the regional average for Asia. Their performance across the B-READY Index pillars of regulatory framework and public services (Figure 3.5) highlights the underdeveloped environment for business activity in these economies.

Figure 3.4 B-READY Index Score (overall)

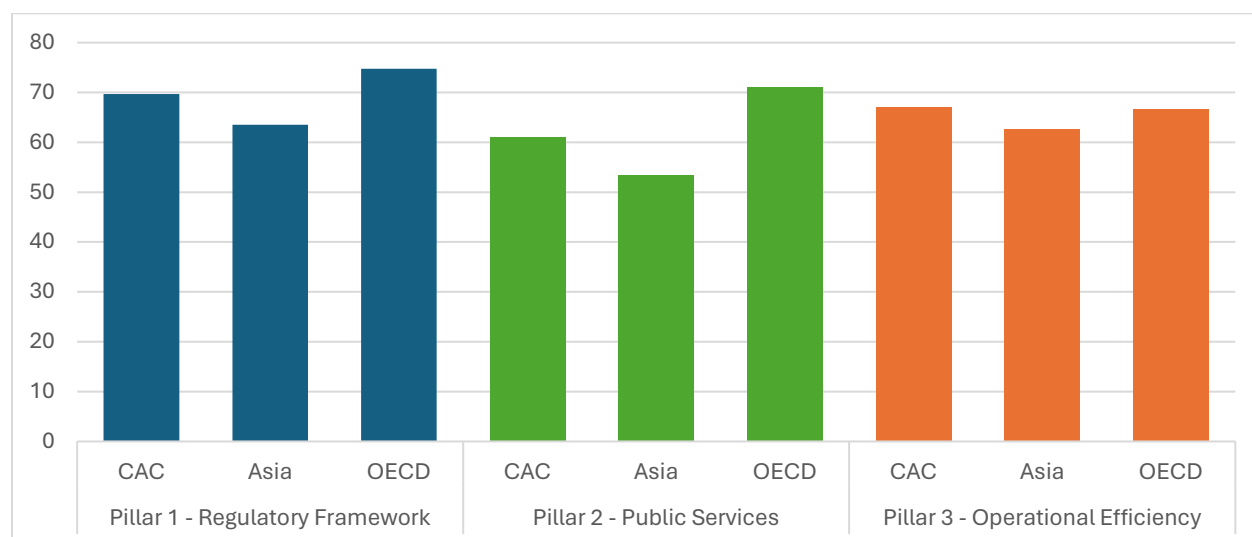


ARM = Armenia, AZE = Azerbaijan, BGD = Bangladesh, CAN = Canada, IDN = Indonesia, GEO = Georgia, KAZ = Kazakhstan, KGZ = Kyrgyz Republic, MYS = Malaysia, OECD = Organisation for Economic Co-operation and Development, PAK = Pakistan PHL = Philippines, PNG = Papua New Guinea, TJK = Tajikistan, TKM = Turkmenistan, UZB = Uzbekistan, VNM = Viet Nam.

Note: The overall index for each economy takes the average score of the three pillars covered under the B-READY Index. The three pillars are regulatory framework, public services, and operational efficiency.

Source: ADB calculations using from the World Bank. [2025 B-READY Index](#). (accessed 18 May 2026).

Figure 3.5 B-READY Index Score (pillars)



CAC = Central Asia and Caucasus, OECD = Organisation for Economic Co-operation and Development.

Note: The chart presents the average scores for CAC, Asia, and OECD economies.

Source: ADB calculations using from the World Bank. [2025 B-READY Index](#). (accessed 18 May 2026).

One critical barrier for foreign investors in the CAC region is the limited accessibility to business registration procedures. In Turkmenistan, registration for foreign firms is lengthy and often unpredictable due to red tape procedures. Access to information on key legislation, such as the Law on Foreign Investment (LoFI), remains limited as these texts are available only in Russian and Turkmen (OECD 2021). Moreover, several important bylaws are not publicly available,

discouraging market entry for foreign businesses. Turkmenistan’s regulatory barriers to business entry stand out as more stringent compared to other CAC economies, hampering attractiveness to new foreign investors relative to its regional peers.³

Another concern for foreign businesses in the region is the complex tax administration and compliance. Although most CAC economies have undertaken efforts to simplify tax legislation, foreign firms underline the need to streamline and modernize administrative procedures, which would make compliance more efficient and less burdensome. The government of Uzbekistan adopted a new Tax Code in 2020 to modernize its tax system, mainly by leveraging digital platforms for tax reporting, e-invoicing, and real-time transaction monitoring (Republic of Uzbekistan 2020). Tax administration reforms like this can be emulated by neighboring economies in the CAC region.

A complex tax system can also deter local firms from participating in international supply chains, thus hindering their market access and participation. This is the case for Tajikistan. The cost of tax compliance of firms in Tajikistan is high while collection efficiency is low (World Bank 2019), which creates strong incentives for Tajik SMEs to operate informally. As a result, many Tajik firms struggle to meet the tax reporting standards required by foreign companies, limiting their ability to participate in international supply chains.

Central Asia and the Caucasus can further unlock its potential for regional investments when regulations are improved through better streamlining, increased transparency, and continued modernization.

3.3 Financial access

Financial constraints affect investor appetite and bankability of cross-border projects

Recognized for its dynamism and investment potential, many Asian economies have pursued comprehensive reforms to strengthen their financial systems (OECD 2025b). However, the banking sector and capital markets remain underdeveloped in several parts of the region, limiting access to finance and allocation of capital.

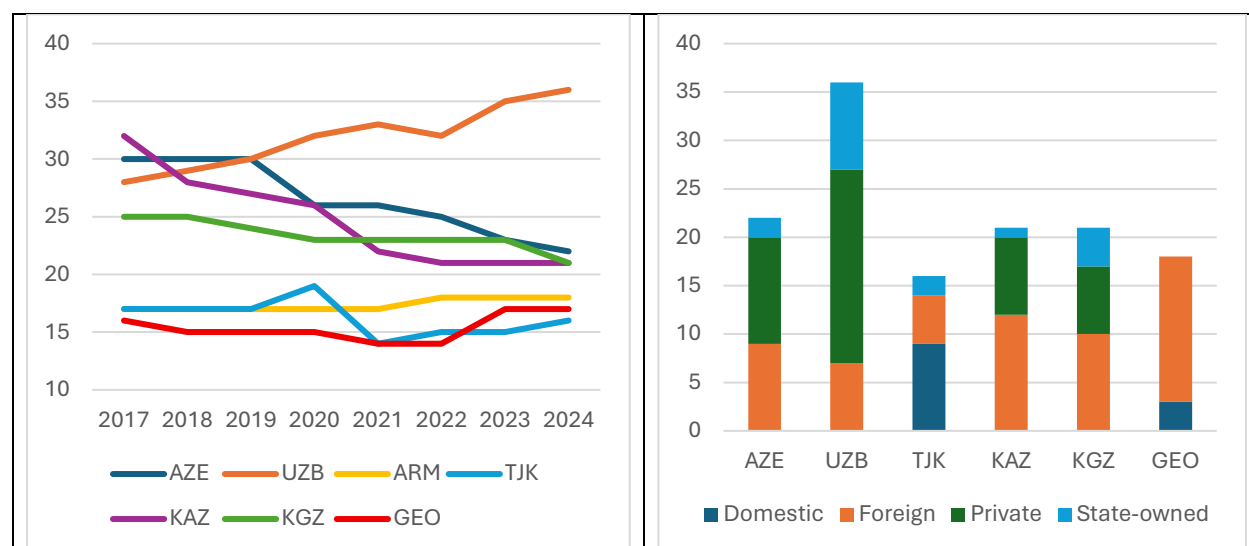
In an emerging investment hotspot like the CAC region, large-scale projects in transport or energy require substantial upfront capital and long-term financing. A shallow regional capital market can thus impact project bankability, especially when there is lack of availability in long-term financing and limited opportunities for blended finance instruments. Alternative financing mechanisms, such as private equity and private credit, are expanding but remain small and highly concentrated in a few markets.

Banking sector development across CAC economies shows considerable variation (Figure 3.6). Commercial banking has growth in some economies, such as Uzbekistan, while contracting in others, limiting borrowing capacity by firms.⁴ Commonly cited obstacles include complex banking procedures, elevated interest rates, and stringent collateral requirements (OECD 2021).

Figure 3.6 Commercial Banks in the CAC Region

a. Number of commercial banks	b. Commercial banks by type, 2024
-------------------------------	-----------------------------------

³ As reflected in the B-READY Index, Turkmenistan scores just 43 points on the Business Entry pillar, well below the regional average of 80.
⁴ For example, Kazakhstan experienced a decline from 32 commercial banks in 2017 to 21 by 2024.



ARM = Armenia, AZE = Azerbaijan, GEO = Georgia, KAZ = Kazakhstan, KGZ = Kyrgyz Republic, TJK = Tajikistan, UZB = Uzbekistan.

Sources: ADB calculations using from the IMF. *Financial Access Survey*. (accessed 24 May 2026); ADB. 2025. *Asia Small and Medium-Sized Enterprise Monitor 2025: Global Uncertainty Trade, and Private Sector Businesses in Asia and the Pacific*.

Many SMEs in Asia continue to rely on bank loans but struggle to access adequate financing, due to high issuance costs, burdensome requirements, and negative risk perceptions from investors (OECD 2025b). By 2025, SMEs accounted for roughly 40% of all rejected bank loan applications in the Asia region (ADB 2026b). This precludes them from linking with potential foreign investors and vice versa.

Measures to address these financing constraints and further relax the financial sector are being explored by CAC economies (Box 3.1).

Box 3.1. Recent reforms to Strengthen Financial and Capital Market Development in Central Asia and Caucasus

Recognizing persistent financial constraints, CAC economies have implemented reforms to improve their capital market to attract more foreign investments. Notable examples are:

Uzbekistan's draft law on "Alternative Investment Funds". Uzbekistan's Ministry of Investment, Industry, and Trade is introducing legislation for establishing a competitive alternative investment market and an enabling environment for innovative, high-growth firms. The law provides a framework for key actors in this market (private equity funds, venture capital funds, business angels); specialized investment vehicles with a limited partner/general partner (LP/GP) venture; modern contractual financing instruments; recognition of investment as capital expenditures; clarification of the taxation of all operating and management costs related to investments; and the introduction of a special currency regime.

Public-Private Partnership (PPP) legal framework development in Turkmenistan. In 2021, the Government of Turkmenistan enacted a new PPP law to structure bankable projects in transport, municipal services, and urban development. It aligns with the government's aim of increasing the private sector's participation to 73% GDP by 2026. The Arkadag Smart City development is a flagship example of private sector involvement in public infrastructure delivery. It has an investment size of \$3.3 billion and \$1.5 billion for Phase 1 and 2, respectively.

Armenia’s regulatory framework on Simplified Agreement for Future Equity (SAFE). The Armenian government introduced SAFE contracts wherein foreign investors can finance start-up companies in their initial stages of development. Upon its adoption, Armenian start-ups attracted over \$25 million into their operations.

Addressing weaknesses in the financial sector can help boost investor appetite in the CAC region. Although traditional banking continues to dominate across much of the economies, momentum is being built behind financial reforms designed to broaden available financing instruments, ease regulatory burdens, and enhance the overall resilience and efficiency of the financial ecosystem.

4. Cross-Border Investments and Regional Project Pipelines

4.1 Green Energy

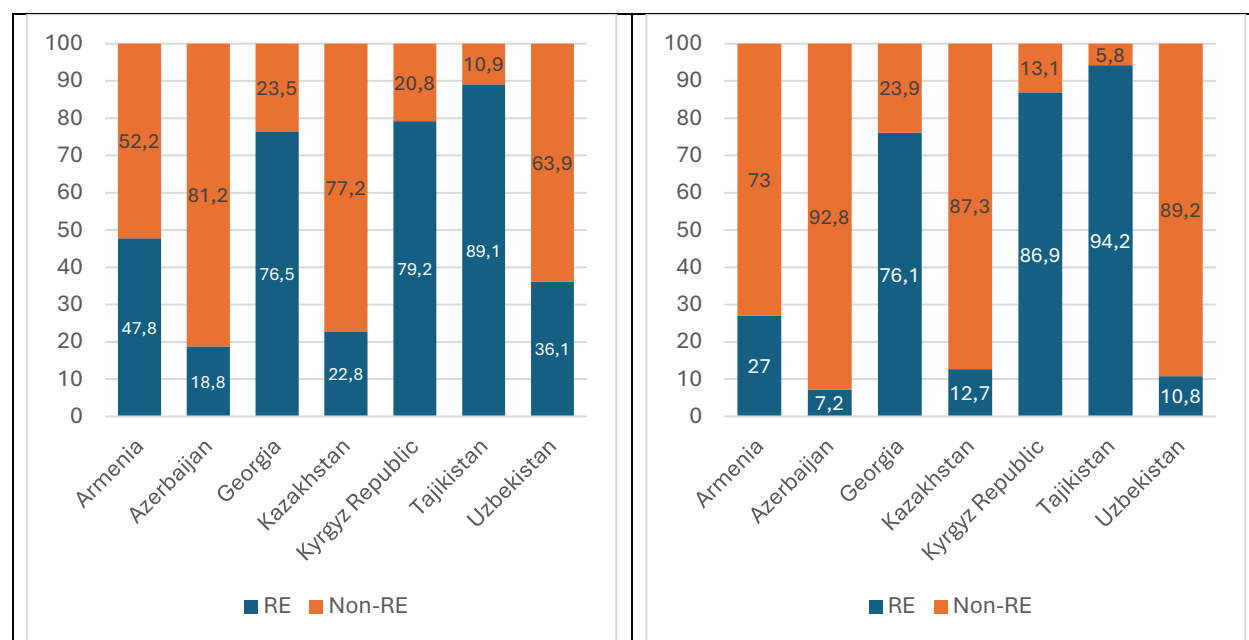
Renewable energy has huge potential in Central Asia but remains underexplored

Energy resources are abundant in the CAC region. Alongside substantial reserves of coal, natural gas, and oil, the region holds vast potential in renewable sources such as hydropower, solar, and wind. However, despite progress in expanding renewable energy (RE) generation, CAC economies remain heavily reliant on fossil fuels to meet rising energy demand with coal and natural gas dominating the electricity mix (UNECE 2025). This dependence leaves the region vulnerable to global energy supply disruptions and price volatility.

Achieving energy security is possible by tapping the region’s RE potential. Latest estimates show that the share of renewables in electricity capacity and generation varies across CAC economies (Figure 4.1). Georgia, the Kyrgyz Republic, and Tajikistan have high shares of renewables in their energy matrix thanks to abundant resources for hydropower. Meanwhile, Azerbaijan, Kazakhstan, and Uzbekistan have immense potential in tapping its renewable sources, particularly in wind and solar energy sectors (CAREC 2025).

Figure 4.1. Share of Renewable Energy to Electricity Capacity and Production

a. Share of RE to electricity capacity, 2025 (% MW)	b. Share of RE to electricity production, 2023 (% GWh)
---	--



GWh = Gigawatt hours, MWh = Megawatt, RE = Renewable energy.

Source: International Renewable Energy Agency (IRENA). 2026. Renewable energy statistics 2026.

Expanding the role of renewable energy in electricity generation is now a priority across many CAC economies. Uzbekistan, for example, is committed to reducing its dependence on natural gas by raising the contribution of renewables to 54% by 2030. Similarly, Kazakhstan plans to scale up renewables generation by cutting coal-based power by 50% by 2030 (UNECE 2025). The shift to clean energy sources will not only increase energy security in the CAC region, but also generate jobs and economic opportunities.

The momentum for regional investments towards green energy is growing

Private sector investments will play a critical role in narrowing the investment gap to facilitate energy security in the region. For the Central Asia Regional Economic Cooperation (CAREC)⁵, energy-related investment needs are estimated at \$2.9-3.8 trillion⁶ by 2030 (ADB 2022).⁷ The regional FDI trend is also supporting the sector. Strategic FDI inflows into the CAC region are dominated by projects in green energy transition, accounting up to 90% in 2024 (Figure 4.2a). These originated mainly from the People's Republic of China (PRC), with some participation from Europe and the Middle East (Figure 4.2b).

Within CAC members, Uzbekistan attracted the largest FDI inflows in green energy transition in 2024, followed by Azerbaijan and the Kyrgyz Republic (Figure 4.3a). The impact of FDI inflows on employment has been relatively modest, with about 600-800 jobs generated in 2024 for both Kazakhstan and Uzbekistan (Figure 4.3b). Although FDI towards green energy has slightly

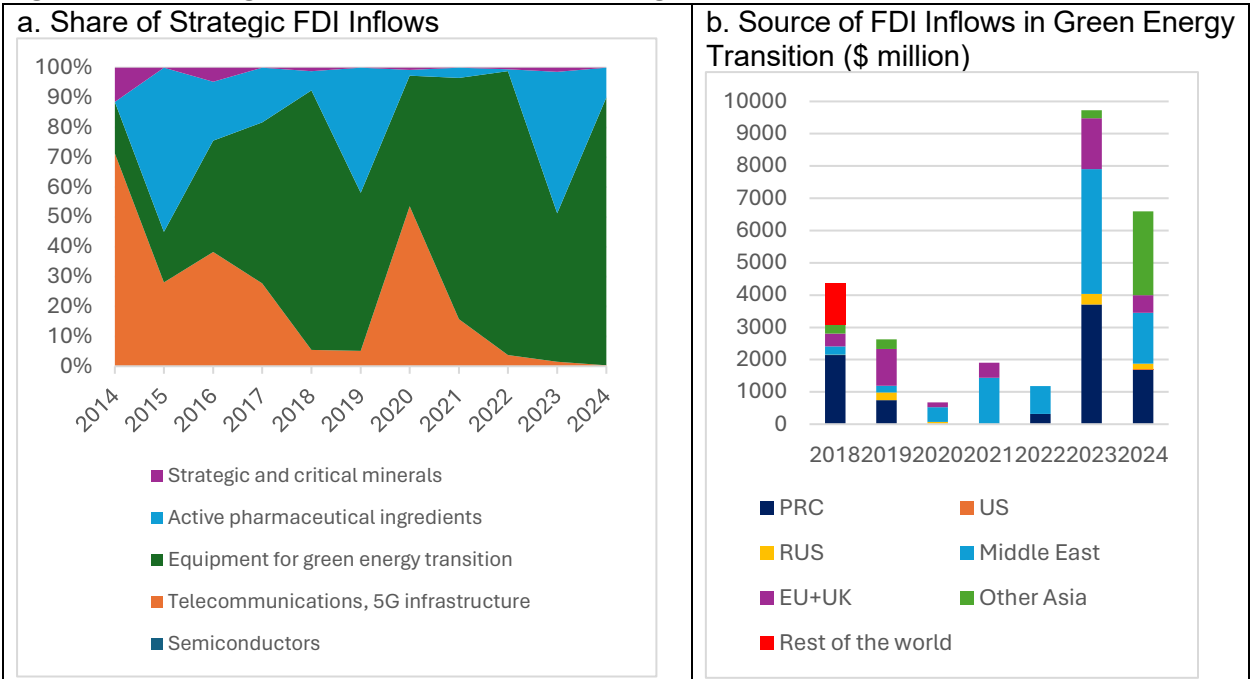
⁵ The CAREC subregional initiative is comprised of Afghanistan, Azerbaijan, People's Republic of China (PRC), Georgia, Kazakhstan, Kyrgyz Republic, Mongolia, Pakistan, Tajikistan, Turkmenistan, and Uzbekistan.

⁶ If excluding the PRC, investment needs are projected to range from \$136 to \$339 billion.

⁷ This estimate considers financing needs for energy generation, energy efficiency measures, and energy infrastructure, among others.

declined from 2023 to 2024, the scale of investment remains higher than a decade ago, underscoring the sector’s potential.

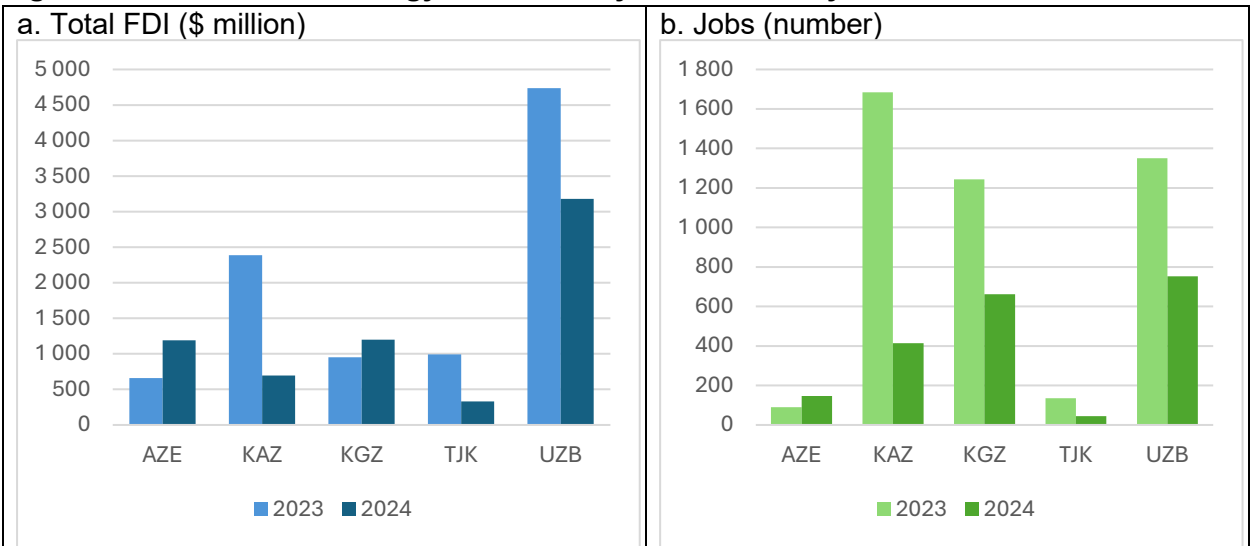
Figure 4.2. Strategic FDI Inflows in the CAC Region



PRC = People’s Republic of China, EU = European Union, RUS = Russian Federation, US = United States, UK = United Kingdom.

Source: ADB calculations using data from Financial Times. fDi Markets; and Moody’s Analytics. Orbis M&A (formerly Zephyr M&A Database) (accessed June 2025); and methodology based on UNCTAD (2025).

Figure 4.3. FDI in Green Energy Transition by CAC Economy



AZE = Azerbaijan, KAZ = Kazakhstan, KGZ = Kyrgyz Republic, TJK = Tajikistan, UZB = Uzbekistan.

Source: ADB calculations using data from Financial Times. fDi Markets; and Moody’s Analytics. Orbis M&A (formerly Zephyr M&A Database) (accessed June 2025); and methodology based on UNCTAD (2025).

CAC economies stress the importance of cross-border green energy initiatives

In the survey, all Foreign Investment Councils (FICs) across the CAC region emphasized the importance of attracting greater investments into green energy projects. Several regional initiatives have already been launched to expand cross-border electricity trade, including the TUTAP and TAPI power projects.⁸

Respondents also underscored opportunities for scaling up investment in flagship green energy projects (Table 4.1). These initiatives have the potential for strengthening regional energy security and deepening cooperation within and beyond the CAC region, as interconnected energy systems may benefit economies in East Asia, South Asia, the Middle East, and Europe.

Table 4.1. Notable green energy initiatives for regional investment

Name	Economies	Description
Ayg-1 Solar Power Plant	Armenia	A 200 MW utility-scale solar power plant that aims to strengthen Armenia's energy independence.
Black Sea Submarine Electricity Cable	Azerbaijan, Georgia, Hungary, Romania	A fiber-optic submarine cable that will deliver renewable energy generated in Azerbaijan, through Georgia, to South Europe.
CASA-1000	Afghanistan, Kyrgyz Republic, Pakistan, Tajikistan.	Project aims to bring clean hydropower resources from Central Asia to South Asia.
Kambarata HPP-1	Kyrgyz Republic	A large-scale hydropower project that targets to increase electricity generation capacity and strengthen regional energy security.
Rogun Hydropower Project	Tajikistan	Largest hydropower plant in Central Asia.
Tashkent BESS Project	Uzbekistan	Provides cross-border electricity trade with Kazakhstan, the Kyrgyz Republic, and Tajikistan.

BESS = Battery energy storage system; PRC = People's Republic of China.

Sources: ADB Central Asia and Caucasus Investment Priorities survey results; CASA-1000 Organization. (n.d.). [CASA-1000: Increasing clean energy availability and access in Central and South Asia](#); and Submarine Cable Networks. (n.d.). [Black Sea Submarine Cable \(BSSC\)](#).

Investing in cross-border infrastructure initiatives can increase energy supply security in the CAC region. It will allow economies in the region to have better access to a variety of energy sources, thus ensuring redundancy and stability of power grids. In Turkmenistan, natural gas plays a pivotal role in the country's energy system, as well as its export market. In fact, the government aims to expand the export of natural gas to neighboring regions including the PRC, South Asia, and Europe.

The region will also highly benefit from its massive potential for investments in clean energy. An interconnected power system supported by RE and low-carbon sources will reduce CAC economies' reliance on fossil fuels and thus can help facilitate decarbonization efforts. It will provide scalable low-carbon baseload power which can further increase energy security for the

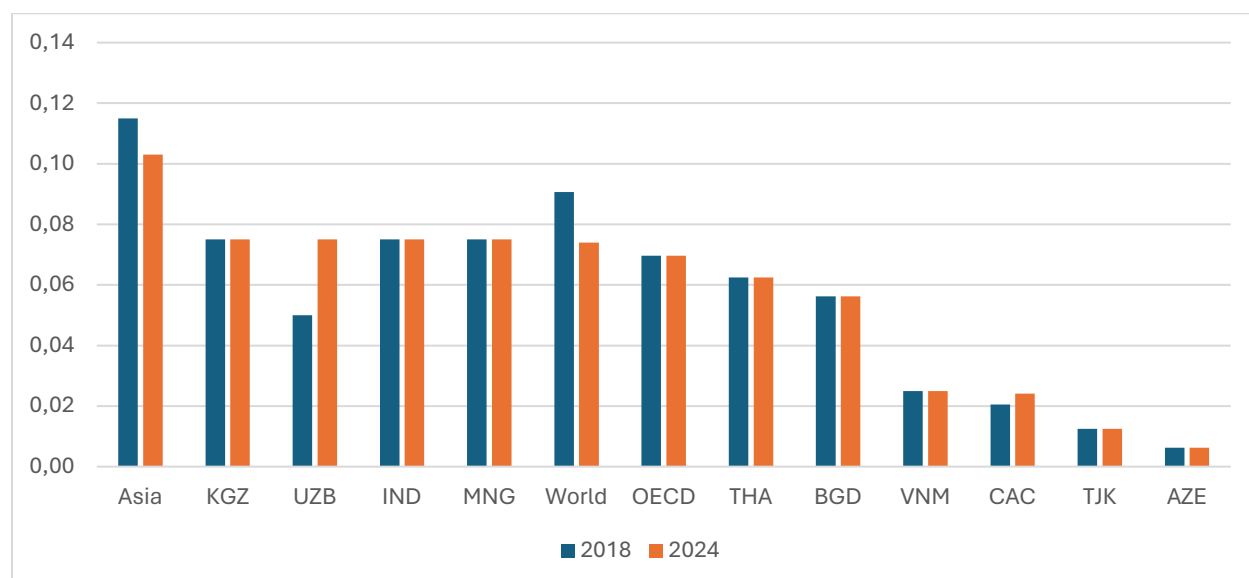
⁸ The Turkmenistan-Uzbekistan-Tajikistan-Afghanistan-Pakistan (TUTAP) Power Project is an electricity transmission initiative connecting Central Asia and South Asia. The Turkmenistan-Afghanistan-Pakistan-India (TAPI) Power Project, meanwhile, transports natural gas reserves from Turkmenistan to countries in South Asia.

region (UNECE 2025). For instance, hydropower resources in the Kyrgyz Republic and Tajikistan can be scaled up to provide larger quantities of hydropower to the wider CAC region.

Gaps in regulatory and institutional frameworks are outweighed by opportunities for green energy development

According to the OECD FDI Restrictiveness Index, foreign investment in the electricity sector is comparatively less restrictive than in other industries such as agriculture and services. However, since 2018, CAC economies have undertaken limited progress in further liberalizing the sector (Figure 4.4). Azerbaijan and Tajikistan are the least restrictive toward foreign investments in the electricity sector, while notable barriers remain in the Kyrgyz Republic and Uzbekistan.

Figure 4.4 FDI Restrictiveness Index for Electricity Sector (unweighted scores)



BGD = Bangladesh, CAC = Central Asia and Caucasus, IND = India, KGZ = Kyrgyz Republic, MNG = Mongolia, OECD = Organisation for Economic Co-operation and Development, THA = Thailand, TJK = Tajikistan, UZB = Uzbekistan, VNM = Viet Nam.

Note: The average scores were taken for Asia, World, OECD countries, and CAC economies. Scores presented here do not account for sector weights used to compute total economy scores. A higher scores indicates greater restrictiveness.

Source: ADB calculations using from the OECD. [FDI Regulatory Restrictiveness Index Scores](#). (accessed 14 May 2026).

To enhance the attractiveness of the energy sector, CAC economies must work to improve their regulatory framework and policy environment. Notably, several countries have unbundled their energy markets by shifting away from vertically integrated state-owned companies (ADB 2022). Tajikistan, as an example, unbundled Barqi Tojik into three independent companies with varying functions on electricity generation, transmission, and distribution. Ensuring regulatory frameworks are clear, comprehensive, and accessible to foreign investors should also be prioritized to improve the investment climate.

On the financial side, barriers persist when it comes to the availability of long-term financing and the capacity of local institutions. CAC economies can leverage innovative financing mechanisms, such as sustainable debt and public-private partnerships, to bridge the investment gap. To this

end, some economies have undertaken policies on expanding available financing tools which can be scaled up to attract foreign investments in the energy sector:

- **Georgia issued its first green bonds.** In 2020, JSC Georgia Global Utilities issued a \$250 million green bond whose proceeds are intended to refinance existing debt of renewable energy and water assets (ADB 2020).
- **Kazakhstan has established an emissions trading system (ETS).** The country's ETS program targets large emitters in the power and industrial sectors, such as oil, gas, mining, and metallurgy.
- **Uzbekistan amended its PPP Law** to further improve the environment for investment opportunities. PPPs can be leveraged to mobilize private capital to unlock Uzbekistan's potential for RE projects in wind and solar (CAREC 2025).

CAC economies also noted the lack of a regional pipeline for energy projects. The development of such a framework can act as a transparent roadmap of regional priorities and cross-border investment opportunities, signaling a favorable investment climate to foreign investors.

4.2 Transport/Logistics

The region's geographic position among major global trade corridors presents a strong case for investment in transport and logistics

The CAC region occupies a strategically important position, sitting across two trade axes, an East-West axis linking Europe with East Asia, and a North-South Axis connecting Central Asia to the Middle East and South Asia. As such, it serves as a natural transit bridge for global trade.

Transport and connectivity along the region has been framed under the “New Silk Road”, a term pertaining to the maritime trade routes linking Asia, the Middle East, and Europe. The framework is most visible in the CAC region through the Middle Corridor, more formally known as the Trans-Caspian International Transport Route (TITR).

The Middle Corridor spans from the PRC through Kazakhstan, across the Caspian Sea, through Azerbaijan and Georgia, and through Turkey to Europe.⁹ Since 2022, Russia's invasion of Ukraine marked a turning point, as sanctions on the Northern Corridor redirected freight demand toward the Trans-Caspian route. Cargo volumes increased 2.5 times in 2022 alone, reaching 4.5 million tonnes by 2024, with the World Bank projecting demand of up to 11 million tons annually by 2030 (OECD, 2025; World Bank, 2023).

Survey findings confirm transport and logistics as a cross-cutting investment priority across the region. Georgia frames its infrastructure agenda around Middle Corridor competitiveness; Uzbekistan identifies the CKU Railway, Trans-Afghan Railway, dry ports, and aviation as flagship investment areas; Armenia anchors its cross-border priorities on the TRIPP multimodal corridor; and Kazakhstan, Tajikistan, and the Kyrgyz Republic each rank transport and logistics among their top five sectors. Flagship investments span all major transport modes, including

⁹ This renders the corridor valuable to multiple actors: Central Asian exporters seeking diversified market access, the PRC reducing dependence on Russian-controlled transit, and Europe securing supply chain resilience against geopolitical disruption (World Bank, 2023).

Turkmenistan's completed Ashgabat–Turkmenabat Highway, Uzbekistan's New Tashkent International Airport PPP, the CKU Railway, and Georgia's Anaklia Deep Sea Port.

Table 4.2 below summarizes notable transport and logistics investment initiatives across the CAC economies surveyed.

Table 4.2. Notable transport/logistics initiatives for regional investment

Name	Economies	Description
TRIPP Multimodal Transit Corridor	Armenia	A multimodal transit corridor under the Crossroads of Peace initiative, aimed at reopening regional transport links across Armenia
Anaklia Deep Sea Port	Georgia	A deep-sea Black Sea port positioning Georgia as a key Middle Corridor hub between Europe and Asia.
East-West Highway Modernization	Georgia	Upgrade of Georgia's main highway corridor to improve transit potential and reduce logistics costs.
Ashgabat–Turkmenabat Highway	Turkmenistan	A 600 km six-lane highway linking Ashgabat to the eastern Lebap province via three sections.
New Tashkent International Airport	Uzbekistan	A PPP airport targeting 20M passengers and 129,000t cargo.
China-Kyrgyzstan-Uzbekistan Railway	Kyrgyz Republic, Uzbekistan, PRC	A cross-border rail project connecting China through Kyrgyzstan to Uzbekistan,

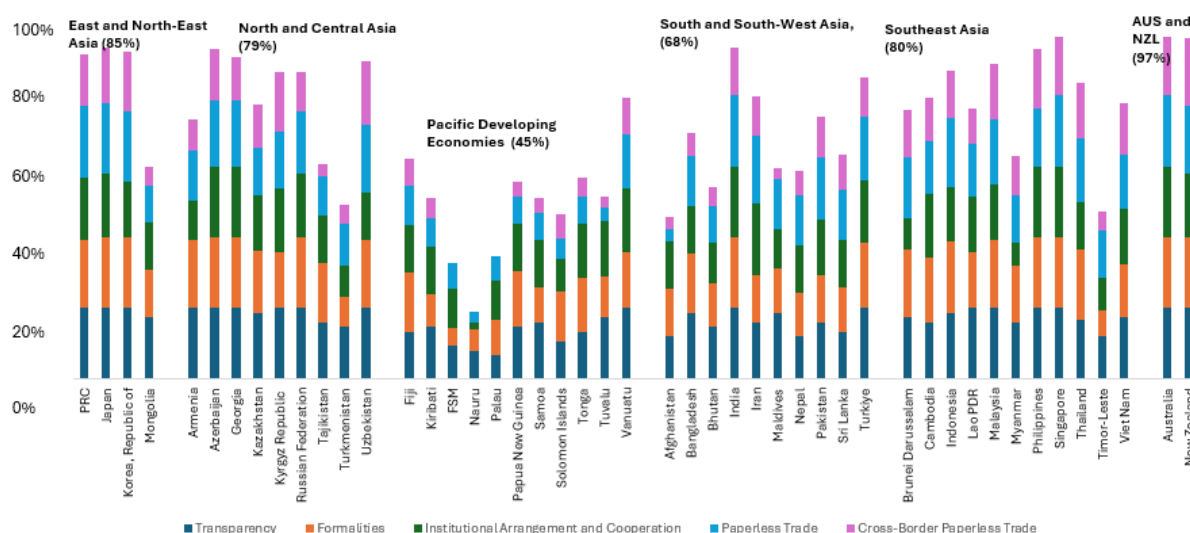
BESS = Battery energy storage system; PRC = People's Republic of China; TRIPP =Trump Route for International Peace and Prosperity.

Source: ADB Central Asia and Caucasus Investment Priorities survey results.

Trade facilitation and coordination gaps limit the CAC region's transit competitiveness

Trade facilitation performance across the CAC region remains uneven, pointing to operational and institutional constraints that continue to limit its transit competitiveness. According to the UN Global Survey on Digital and Sustainable Trade Facilitation, the North and Central Asia subregion scores 79% overall, with cross-border paperless trade and institutional arrangements among the weaker dimensions across CAC economies (Figure 4.5).

Figure 4.5: Trade Facilitation Score across Asia and the Pacific, 2025



Notes: AUS = Australia, NZL = New Zealand, PRC= People's Republic of China. The UN Global Survey on Digital and Sustainable Trade Facilitation currently covers over 180 economies and 62 measures related to the WTO's Trade Facilitation Agreement (TFA) as well as to paperless trade and the UN treaty on cross-border paperless trade in Asia and the Pacific (CPTA). The survey is conducted jointly by all five UN Regional Commissions, UNCTAD and a growing number of global and regional partners every two years.
Source: UNESCAP.

These gaps are visible at the operational level. Fragmented customs clearance systems, inconsistent documentation requirements, and unpredictable dwell times at border crossing points (BCPs) create significant friction for freight operators. Survey findings corroborate this. The Kyrgyz Republic, for instance, notes that remaining administrative barriers in trade and customs procedures continue to affect the movement of goods, equipment and services across borders. Meanwhile, Uzbekistan's FIC calls for common transit arrangements and digitalization as preconditions for unlocking cross-border investment.

Georgia's Investment Council, with EBRD support, assessed the introduction of Contrailer (Ro-La) rolling highway services enabling trucks to be transported by rail between key terminals along the Georgia-Azerbaijan corridor. The study found the solution to be economically and operationally viable, with potential to capture 15–17% of freight demand by 2030 while reducing transport time, costs, and congestion. This illustrates potential gains from addressing trade facilitation gaps.

Special Economic Zones and dry ports offer a practical instrument for anchoring logistics investments

Special Economic Zones (SEZs) are increasingly recognized as instruments for attracting logistics-linked investment. SEZs, such as free zones, tend to be located near seaports, airports, and border corridors, hosting warehousing, logistics, and services firms, making them natural anchors for freight-oriented investment (UNCTAD 2019). When done correctly, SEZs have the potential to act as a springboard for global trade and technological advancement.

Among surveyed economies, Uzbekistan, Tajikistan, Turkmenistan, and the Kyrgyz Republic each identify SEZs or free economic zones as priority investment instruments. Uzbekistan's framework, anchored in the Law on Special Economic Zones (2020), is complemented by PPP

agreements worth \$4.5 billion launched in 2025 covering road, transport, and related infrastructure. Turkmenistan offers simplified taxation, free registration, and land lease rights within its zones, with several additional zones under preparation. Tajikistan lists free economic zones alongside PPPs, tax incentives, and stability guarantees of up to 15 years, while the Kyrgyz Republic identifies industrial parks and SEZs offering preferential conditions and ready infrastructure as key investment instruments.

The development impact of SEZs in stimulating logistics investment is contingent on corridor connectivity and enabling infrastructure. Logistics parks and dry ports, when developed within or alongside SEZ frameworks, can transform regional connectivity and help establish trade hubs that attract investment and drive exports (WEF 2026). Uzbekistan explicitly lists dry ports and logistics centers in its transport and connectivity investment priorities, while the Kyrgyz Republic notes that further investment in transport, logistics, and utilities would unlock regional opportunities.

4.3 Digital Connectivity and Regional Digital Economy

Central Asia and the Caucasus (CAC) sit at the overland crossroads between Europe and Asia, yet the region's digital connectivity has not kept pace with its physical connectivity. Landlocked and transit-dependent geography means that international internet traffic depends on a limited set of terrestrial routes, commercial transit arrangements, and national wholesale markets. This raises cost, increases latency, and concentrates exposure to single points of failure. As shown in Chapter 2, digital-sector foreign direct investment into the region has also been narrow and volatile, with activity concentrated in a small number of markets and subsectors. Closing the connectivity gap is therefore both an infrastructure priority and a diversification opportunity.

Two developments create a stronger basis for a coordinated investment pipeline. First, ADB's Asia-Pacific Digital Highway, announced in 2026, is expected to mobilize up to \$20 billion by 2035 for digital corridors, data infrastructure, and AI-ready economies. ADB has framed the initiative around cross-border digital networks and data infrastructure; the allocation, country eligibility, and project-selection criteria will need to be confirmed during processing for each investment.¹⁰ Second, the CAREC Digital Strategy 2030 and its 2025 Midterm Review provide the regional policy mandate for stronger digital connectivity, interoperable digital services, digital skills, and trusted data flows.¹¹ These frameworks support a CAC pipeline, but do not by themselves make individual projects bankable. Each project still needs demand validation, route-level feasibility, safeguard screening, implementation ownership, and clear revenue or public-benefit logic.

¹⁰Asian Development Bank. 2026. *ADB Launches \$70 Billion Push to Connect Asia's Power Grids, Digital Networks*. News release. <https://www.adb.org/news/adb-launches-70-billion-push-connect-asia-power-grids-digital-networks>

¹¹CAREC Program. 2025. *CAREC Digital Strategy 2030: Midterm Review*. https://carecprogram.org/uploads/CMC-25-MTR_CAREC-Digital-Strategy-2030_ENG.pdf

Figure 4.6. ADB Asia-Pacific Digital Highway: investment target and financing structure

\$20 billion

to be mobilized by 2035 for the Asia-Pacific Digital Highway
(digital corridors, data infrastructure, and AI-ready economies)



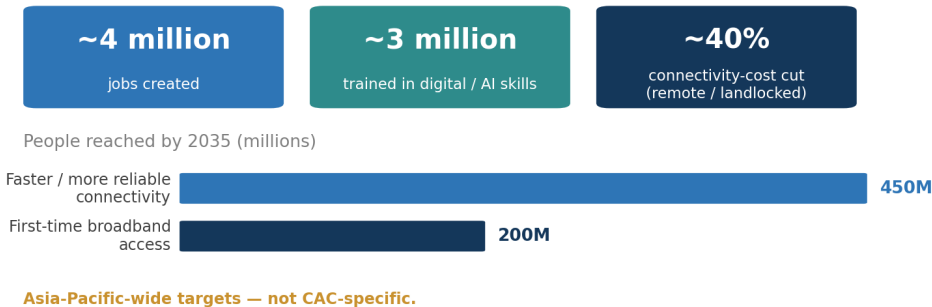
Part of ADB's \$70 billion energy-and-digital package (Power Grid \$50bn + Digital Highway \$20bn).
ADB regional initiative — CAC allocation and project eligibility to be confirmed during processing.

Note: Of the \$20 billion Digital Highway, ADB expects to finance \$15 billion from its own resources and \$5 billion through co-financing, including the private sector. This is an ADB regional initiative; CAC allocation and project eligibility are to be confirmed during processing.

Source: ADB. 2026. ADB Launches \$70 Billion Push to Connect Asia's Power Grids, Digital Networks (3 May 2026).

At the initiative level, ADB has set Asia-Pacific-wide targets for the Digital Highway by 2035, including first-time broadband access for around 200 million people and improved connectivity for a further 450 million, alongside skills and employment goals (Figure 4.7). These are region-wide ambitions rather than commitments specific to the CAC subregion.

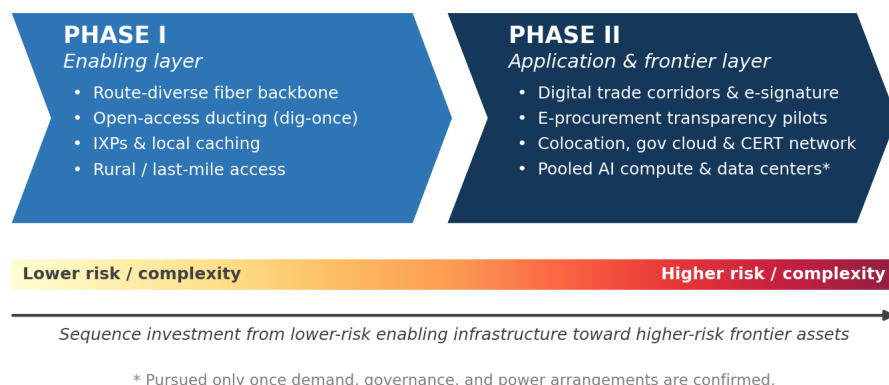
Figure 4.7. Asia-Pacific Digital Highway connectivity targets by 2035 (region-wide; not CAC-specific)



Note: Targets are for the Asia-Pacific region as a whole, not the CAC subregion.
Source: ADB reporting, May 2026.

This chapter, therefore, frames the CAC opportunity as a phased, investment-preparation pipeline rather than a ready-to-finance list. The first phase should prioritize assets that improve redundancy, reduce wholesale costs, localize traffic, and create a reliable platform for digital trade and public services. The second phase should scale sector applications only where there is a confirmed government owner, private-sector demand, and a practical cross-border governance model. This sequencing keeps the pipeline credible for sovereign, public-private, climate, and private-capital investors.

Figure 4.8. Phased, risk-sequenced digital investment-preparation pipeline.



Source: Author's elaboration based on the sequencing logic set out in Section 4.3.3.

4.3.1 Core digital infrastructure

A resilient, route-diverse fiber backbone is the foundational investment

The priority investment is a resilient regional backbone that reduces dependence on any single international transit arrangement and improves route diversity within the CAC region. A dig-once approach, installing ducts and fiber alongside roads, railways, power lines, and other linear infrastructure, can lower civil works costs when construction schedules, right-of-way (ROW) access, and permitting are aligned. International co-deployment studies show that shared trenches, coordinated permitting, and multi-utility corridors can reduce duplication and accelerate broadband rollout, but the model is not automatic. It requires early design integration, clear ownership of ducts, maintenance access, open-access rules, and agreement among transport, energy, and telecom authorities.¹²

The first investment package should therefore identify corridor segments where co-deployment remains feasible before civil works are finalized and distinguish them from segments that require retrofitting. Priority terrestrial segments should include east-to-west and north-to-south backbone links across Kazakhstan, Uzbekistan, the Kyrgyz Republic, and Tajikistan; Caucasus backhaul through Azerbaijan, Georgia, and Armenia; and a feasibility window for Turkmenistan where access, commercial participation, and regulatory conditions can be confirmed. This gives all eight CAC economies a logical role while recognizing that implementation readiness differs by corridor and by country.

A western gateway diversifies international connectivity

The Trans-Caspian fiber-optic cable between Azerbaijan and Kazakhstan provides the most visible near-term international gateway. Public information from AzerTelecom describes a 380 km Sumgait-to-Aktau link with a design capacity of up to 400 Tbps and construction targeted for completion by the end of 2026.¹³ This figure should be treated as potential system design capacity,

¹²United Nations Economic and Social Commission for Asia and the Pacific (UNESCAP). 2025. *Connectivity in North and Central Asia through Co-Deployment of ICT, Energy and Transport Infrastructures*. <https://repository.unescap.org/server/api/core/bitstreams/8d353f9e-6b02-4fba-916e-83ee7a3f919a/content>

¹³ AzerTelecom. 2025. *The Trans-Caspian Fiber-Optic Cable Construction Project Enters the Active Phase*. <https://www.azertelecom.az/en/news/desktop-study>

not as initial lit or commercially available capacity, unless the operators publish further technical and wholesale-market details.

Figure 4.9. Trans-Caspian fiber-optic cable: key project parameters



Trans-Caspian fiber-optic cable, Azerbaijan – Kazakhstan (AzerTelecom).

* Potential system design capacity — not initial lit or commercially available capacity.

Note: The 400 Tbps figure is stated system design capacity, not initial lit or commercially available capacity.

Source: AzerTelecom (2025).

The public investment case is therefore not to duplicate the privately led crossing. It is to ensure that the crossing becomes a competitive, multi-user regional asset that strengthens the wider Middle Corridor between Asia and Europe.¹⁴ The priorities are open-access wholesale arrangements, landing-station resilience, terrestrial backhaul through Azerbaijan and Georgia, options for Armenian interconnection where commercially and technically viable, and a realistic Phase II assessment for Turkmenistan. This framing avoids overclaiming and focuses public finance on the missing elements that convert a cable landing into a regional market.

IXPs and last-mile access turn capacity into usable connectivity

Backbone capacity creates limited development value if traffic continues to leave the region unnecessarily or if rural areas remain unserved. National and regional internet exchange points (IXPs), carrier-neutral data rooms, and local caching infrastructure can keep domestic and intra-regional traffic closer to users, reduce transit costs, and improve performance for government, education, health, and private-sector services. Last-mile networks should be packaged separately from the backbone so that public support can target commercially weak, rural, high-mountain, and low-density areas. The region-wide access package should include all eight economies, but with differentiated roles. Kazakhstan, Uzbekistan, Azerbaijan, and Georgia can anchor higher-traffic wholesale and IXP markets; the Kyrgyz Republic, Tajikistan, and Armenia can prioritize resilience and mountainous last-mile reach; and Turkmenistan can participate through phased interconnection and wholesale-market readiness assessments.

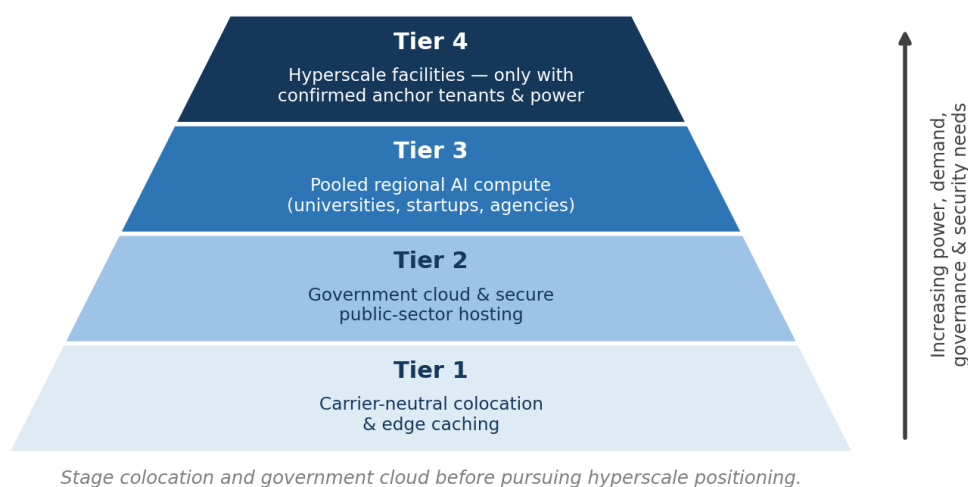
Data centers should be staged before hyperscale positioning

The CAC region has advantages in compute infrastructure, including renewable energy potential, cooler climates in several locations, available land, and improved international connectivity. These advantages are relevant, but they do not yet prove hyperscale readiness. Global cloud and AI investors also require reliable power, grid redundancy, water and cooling solutions, predictable regulation, tax and customs clarity, data protection rules, cybersecurity maturity, disaster risk planning, and credible anchor demand. The investable near-term model is therefore staged: (i) carrier-neutral co-location and edge caching in major connectivity hubs; (ii) government cloud,

¹⁴Organisation for Economic Co-operation and Development (OECD). 2023. *Realising the Potential of the Middle Corridor*. See https://www.oecd.org/content/dam/oecd/en/publications/reports/2023/12/realising-the-potential-of-the-middle-corridor_c458041c/635ad854-en.pdf

disaster recovery, and secure public-sector hosting; (iii) pooled regional AI compute for universities, startups, and public agencies; and only then (iv) hyperscale facilities where anchor tenants and power arrangements are confirmed. Kazakhstan, Uzbekistan, Azerbaijan, and Georgia are the most likely early data-center markets; Tajikistan and the Kyrgyz Republic may offer renewable-energy advantages, subject to grid and demand studies; Armenia can contribute through technical talent, geospatial systems, and secure digital services; and Turkmenistan should be assessed through a readiness and interconnection lens.

Figure 4.10. Staged maturity model for regional data-center development



Source: Author's elaboration based on the staged model described in Section 4.3.1.

Digital public infrastructure is the bridge between infrastructure and applications

Connectivity needs to be matched by digital public infrastructure (DPI): digital identity, e-signature, payments, consent-based data exchange, and interoperable registries. The practical objective should not be a single regional DPI platform in the near term. It should be standards-based interoperability so that national systems can exchange trusted data for trade, procurement, health, education, and private services where legal agreements exist. Several CAC economies already have digital-government building blocks, such as the digitized tax-filing and e-invoicing systems detailed in Chapter 4, but maturity differs. A phased approach should start with common standards for digital-ID assurance levels, electronic signatures, data-exchange APIs, cybersecurity controls, and cross-border recognition pilots. This creates a realistic link between the core infrastructure layer and the sector application layer, and avoids assuming that broadband alone will generate digital transformation.¹⁵

4.3.2 Sector-specific digital investment opportunities

Digital trade facilitation offers the most measurable regional return

¹⁵CAREC Program. 2025. *CAREC Digital Strategy 2030: Midterm Review*.

Digital trade facilitation is the strongest sector application because it directly links connectivity to corridor competitiveness. A CAC digital trade corridor could include electronic data exchange, mutual recognition of selected digital certificates, pre-arrival processing, risk-based controls, and cargo visibility across railways, border posts, and dry ports. International guidance on single windows emphasizes that results depend on legal alignment, agency coordination, process simplification, and data standards, not software alone.¹⁶

The frequently cited 30% to 50% reduction in clearance or processing time should be presented only as an indicative benchmark from broader trade-facilitation experience, not as a CAC forecast.¹⁷ The chapter should require a baseline time-release study and corridor-specific benefit-cost analysis before using a numerical target.¹⁸ A practical first phase would focus on the highest-volume corridors involving Kazakhstan, Uzbekistan, the Kyrgyz Republic, Azerbaijan, and Georgia, while Armenia, Tajikistan, and Turkmenistan join through specific customs, certification, or data-exchange pilots as readiness allows.

Cross-border e-procurement should begin with transparency and mutual-recognition pilots

A regional e-procurement platform could improve transparency, SME access, and directly address the regulatory-predictability constraints identified in Chapter 4, but full cross-border procurement is politically and legally sensitive. Domestic-preference rules, language, appeal mechanisms, vendor registration, tax treatment, and anti-corruption enforcement differ across countries. The more credible model is a phased one: shared publication of notices, common supplier information fields, open-contracting data standards, selected mutual recognition of documents, and then limited cross-border bidding pilots. Georgia, the Kyrgyz Republic, Uzbekistan, Armenia, and Kazakhstan can be positioned as early reform partners, while other economies participate through observer and standards-alignment tracks.

Sector platforms should be tied to confirmed owners and revenue logic

Agriculture, health, tourism, geospatial, and education platforms can demonstrate inclusive impact, but each requires a responsible ministry, operating model, data-sharing rules, and a clear service proposition. A digital agriculture platform should be linked to market access, weather advisories, traceability, and the sanitary and phytosanitary (SPS) modernization discussed in Section 5.2, with the Kyrgyz Republic, Tajikistan, Uzbekistan, Armenia, and Georgia as relevant pilot countries. A health data and telemedicine network should start with remote specialist consultations and emergency referral protocols rather than full cross-border medical record sharing. A smart-destination platform can support multi-country travel services, payments, and visitor information across Azerbaijan, Georgia, Armenia, Kazakhstan, the Kyrgyz Republic, Tajikistan, and Uzbekistan, subject to tourism-board ownership and private-sector participation.

¹⁶World Customs Organization (WCO). *Single Window Compendium*, Volume 1, Part III. <https://www.wcoomd.org/-/media/wco/public/global/pdf/topics/facilitation/instruments-and-tools/tools/single-window/compendium/swcompendiumvol1partiii.pdf>

¹⁷World Bank. *Trade Facilitation Support Program*. <https://www.worldbank.org/en/programs/trade-facilitation-support-program>

¹⁸World Bank. 2024. *A Primer on Time Release Studies for Swift Cargo Clearance*. <https://documents.worldbank.org/curated/en/099352502262633444/pdf/IDU-94e4b570-298f-4271-ad55-4cd99426f1fa.pdf>

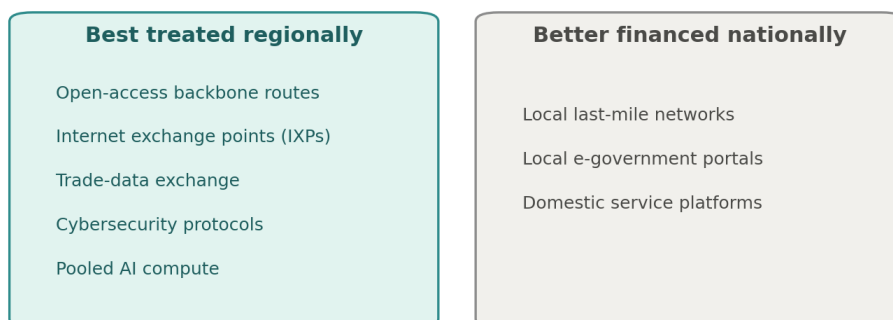
Frontier capability should be pooled only where utilization is credible

Regional AI compute, cybersecurity cooperation, digital skills, and geospatial data infrastructure can strengthen the digital economy, but the pooled model must be justified by utilization. A shared AI-compute facility should be sized based on confirmed users, pricing, maintenance, data security requirements, and governance. It should not be presented as cheaper than national systems unless the chapter demonstrates higher utilization, lower unit cost, and broader access for universities, startups, and public agencies. Cybersecurity cooperation is a prerequisite for trusted data flows, but a single regional structure is unlikely in the near term. A federated CERT cooperation network is more realistic: national CERTs retain sovereignty while sharing incident taxonomies, contact protocols, exercises, threat advisories, and selected response procedures. This model improves trust while respecting national security constraints.

4.3.3 Value for money and investment sequencing

The economic case for a regional approach is strongest where assets are naturally shared or where cross-border interoperability creates value that national duplication cannot. Open-access backbone routes, IXPs, trade-data exchange, cybersecurity protocols, and pooled compute are candidates for regional treatment. Purely local last-mile networks, local e-government portals, and domestic service platforms may still be better financed nationally unless there is a clear cross-border use case.

Figure 4.11. Assets best treated regionally versus better financed nationally



Source: Author's elaboration based on the value-for-money discussion in Section 4.3.3.

The value-for-money test should be explicit. Each proposed project should answer five questions: (i) what duplication is avoided by acting regionally; (ii) what unit-cost reduction or performance gain is expected; (iii) who pays and who benefits; (iv) what institution operates the shared asset; and (v) what revenue, budget, or public-benefit stream supports long-term sustainability. Without this test, the chapter risks presenting regional cooperation as an assumption rather than an investment case.

For investors, the pipeline should be sequenced from lower-risk enabling infrastructure toward higher-risk frontier investments, beginning with route-diverse backbone segments, open-access ducting, IXPs, and rural-access gaps, then moving to digital trade corridors, e-signature recognition, and procurement-transparency pilots, followed by carrier-neutral colocation, government cloud, cybersecurity exercises, and geospatial services, with pooled AI compute and

larger data-center investments pursued only once demand, governance, and power arrangements are confirmed.

Table 4.3 Candidate regional digital projects for the CAC investment pipeline

Project	Layer	Lead / pilot economies	Indicative impact
Resilient fiber backbone using dig-once where feasible	Core infrastructure	Kazakhstan, Uzbekistan, Kyrgyz Republic, Tajikistan, Azerbaijan, Georgia, Armenia, Turkmenistan.	Route redundancy; lower wholesale transit cost; stronger resilience
Trans-Caspian fiber plus Caucasus backhaul	Core infrastructure	Azerbaijan, Kazakhstan, Georgia; Armenia, Turkmenistan	Diversified western gateway; lower latency to European markets
IXPs, local caching, and rural last mile access	Access	Region wide with differentiated national packages	Localized traffic; better performance; first time or improved broadband
CAC digital trade corridor and single window interoperability	Trade	Kazakhstan, Uzbekistan, Kyrgyz Republic, Azerbaijan, Georgia, Armenia, Tajikistan, and Turkmenistan	Faster and more predictable clearance; improved corridor competitiveness
Cross-border e-procurement transparency and mutual recognition pilots	Governance	Georgia, Kyrgyz Republic, Uzbekistan, Armenia, Kazakhstan	SME market access; transparency; procurement predictability

Source: ADB Central Asia and Caucasus Investment Priorities survey results.

4.3.4 Implementation risks and mitigation

ROW and dig-once risk. Mitigation: identify only those transport, rail, power, and utility segments where design integration is still possible; create standard duct-sharing, maintenance, and open-access clauses.

Cross-border harmonization risk. Mitigation: begin with standards, mutual-recognition pilots, shared data dictionaries, and regulatory sandboxes before attempting full platform integration.

Demand risk for data centers and AI compute. Mitigation: require anchor-tenant letters, power-purchase options, public-sector hosting commitments, and utilization forecasts before capital investment.

Cybersecurity and data-sovereignty risk. Mitigation: use a federated CERT network and common protocols while keeping national incident authority and sensitive-data controls intact.

Country-balance risk. Mitigation: use a differentiated eight-country model — larger markets anchor traffic and demand; smaller or more remote economies receive resilience, last-mile, capability, and specialized-service roles; and all countries are included through explicit phase responsibilities.

Table 4.4. Differentiated roles of the eight CAC economies across the digital investment pipeline

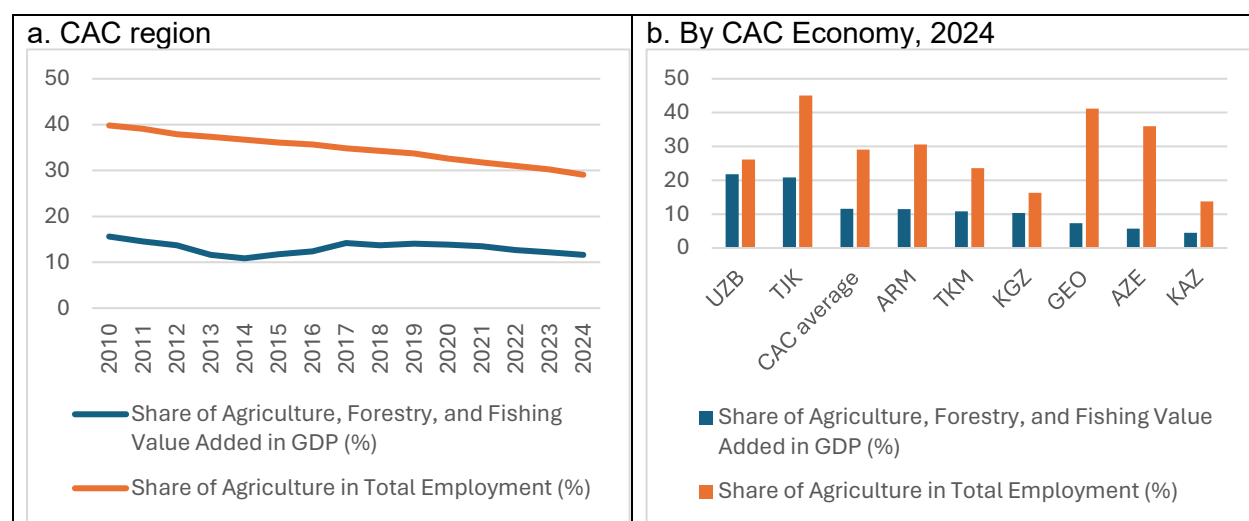
Pipeline role	Assigned economies	CAC	Focus area
Wholesale & high-traffic anchors	Kazakhstan, Uzbekistan, Azerbaijan, Georgia		Wholesale markets, IXP hubs, early data centers, trade corridors
Resilience & mountainous reach	Kyrgyz Republic, Tajikistan, Armenia		Last-mile connectivity, mountainous infrastructure, technical talent, renewable-energy advantages
Phased readiness & interconnection	Turkmenistan		Wholesale-market readiness, feasibility windows, connectivity assessments

Source: Author's elaboration based on Table 4.3. and the differentiated eight-country model in Section 4.3.4.

4.4 Agricultural Value Chains

Agriculture and food systems are vital economic drivers for the CAC region

In Central Asia and the Caucasus, agriculture is an important sector for both economic output and employment (Figure 4.12). This sector accounted for 10-20% of regional GDP and contributed 30-40% to total employment. In 2024, among the CAC economies, the agriculture sector had the biggest economic contribution in Uzbekistan and Tajikistan, while its share of employment was particularly significant in Azerbaijan, Georgia, and Tajikistan.

Figure 4.12. Economic Contributions of the Agriculture Sector

ARM = Armenia, AZE = Azerbaijan, CAC = Central Asia and Caucasus, GDP = gross domestic product, GEO = Georgia, KAZ = Kazakhstan, KGZ = Kyrgyz Republic, TJK = Tajikistan, TKM = Turkmenistan, UZB = Uzbekistan.

Sources: World Bank. Agriculture, forestry, and fishing, value added (% of GDP). [DataBank](https://data.worldbank.org/indicator/NV.AGR.TOTL.ZS) (accessed 28 May 2026); World Bank. Employment in agriculture (% of total employment). [DataBank](https://data.worldbank.org/indicator/NV.AGR.TOTL.ZS) (accessed 28 May 2026).

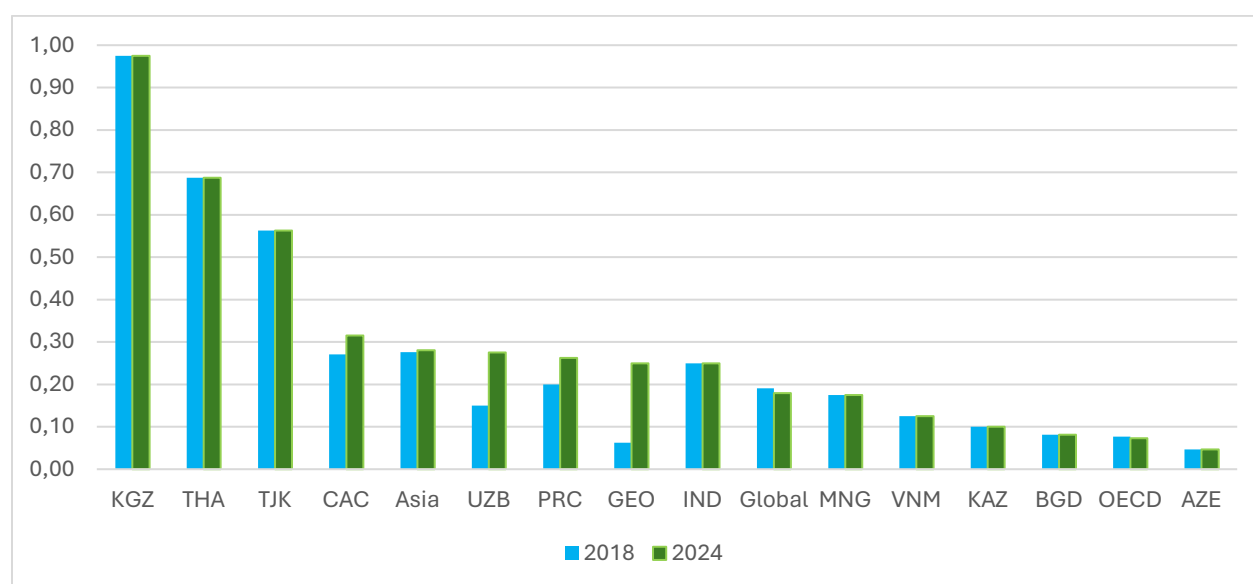
Strengthening the agricultural sector has been a key priority for CAC economies. Policy reforms have sought to shift the region from centrally planned systems toward a market-oriented agricultural framework (ADB 2019). Since the 1990s, governments have implemented land reforms that redistribute collectively managed farmland to smallholder farmers through lease rights or direct ownership. These measures fostered the emergence of small-scale farming, contributing to improvements across the region's agricultural sector and value chain.

The progress achieved in the agriculture sector remains vulnerable to persistent issues

CAC economies have the potential to emerge as global exporters of certain agricultural products, but they are constrained by structural and regulatory weaknesses. Given the region's geographic profile, economies face significant climate pressures and natural hazard risks – including water scarcity, rising temperatures, and land degradation – that directly threaten agricultural productivity and stability. In addition, the region's geographic and economic proximity to geopolitical fault lines heightens the fragility of agricultural value chains.

Some economies in the CAC region, such as the Kyrgyz Republic and Tajikistan, have high restrictions for foreign investments in agriculture (Figure 4.13). Land ownership remains heavily inaccessible from foreign investors, which curtails opportunities for potential agricultural growth and productivity.

Figure 4.13 FDI Restrictiveness Index for Agriculture (unweighted scores)



AZE = Azerbaijan, BGD = Bangladesh, CAC = Central Asia and Caucasus, PRC = People's Republic of China, IND = India, KGZ = Kyrgyz Republic, MNG = Mongolia, OECD = Organisation for Economic Co-operation and Development, THA = Thailand, TJK = Tajikistan, UZB = Uzbekistan, VNM = Viet Nam.

Note: The average scores were taken for Asia, world, OECD countries, and CAC economies. Scores presented here do not account for sector weights used to compute total economy scores. A higher score indicates greater restrictiveness.

Source: ADB calculations using data from the OECD. [FDI Regulatory Restrictiveness Index Scores](#). (accessed 14 May 2026).

At the regional level, agricultural value chains remain fragmented. Cross-border trade is hindered by inconsistent regulatory frameworks, limited logistics, and weak border integration. Meanwhile, outdated food safety systems, particularly sanitary and phytosanitary (SPS) systems, remain

reliant on legacy approaches on product certification instead of risk-based management. Institutional coordination is also insufficient. These constraints raise trade costs, increase trade inefficiency, prolong border delays, and restrict agricultural exports' access to both regional and global markets.

Modernizing sanitary and phytosanitary (SPS) systems has a positive impact on agricultural value chain productivity

A targeted approach to upgrading SPS systems is critical to improve agricultural value chains in the region. There is a need to develop risk-based phytosanitary import requirements and enhance control, inspection, and diagnostic capacities by leveraging digital solutions. CAC economies should ensure that their national SPS systems are aligned with international frameworks, particularly the World Trade Organization (WTO) Agreement on the Application of SPS Measures, to facilitate harmonization in cross-border agricultural trade. To this end, efforts to modernize the SPS systems in the region will require investments in digital tools, infrastructure, and institutions.

Digitalizing SPS systems offers multiple advantages. Electronic platforms enhance efficiency by enabling the secure transmission of certificates, allowing real-time validation and processing, timely inspections when required, and rapid communication among stakeholders. Moreover, digital SPS systems reduce the risk of fraud and misinformation. They also strengthen traceability in agricultural supply chains, reducing the risk of spreading pests and diseases.

Among the Central Asian economies, Uzbekistan was the first country to adopt a digital system for phytosanitary certification, known as the electronic phytosanitary certificate or ePhyto (ADB 2021). This system replaces traditional paper-based certificates with a standardized digital format. An ePhyto Hub facilitates the secure transfer of certificates between National Plant Protection Organizations (NPPOs), allowing for standardized, real-time, and swift processing of SPS documentation.

There is a strong opportunity for CAC economies to collaborate in leveraging digital solutions within SPS systems. By adopting shared platforms and harmonized protocols, economies can streamline certification processes, effectively reduce trade barriers, and enhance transparency. Regional cooperation in digitalization would strengthen agricultural value chains and expand access to global markets.

Opportunities to strengthen agricultural value chains across the CAC region are abundant

Addressing gaps in the agricultural sector require concerted efforts between CAC economies. Integrating logistics, storage, processing, and border systems can significantly improve the performance of agricultural value chains. Economies can integrate agri-food economic corridors with existing transport corridors, to maximize established linkages and enable more efficient movement of agricultural goods.

As highlighted by respondents to the RAIC-CAC survey, diversification of agriculture exports can also boost productivity for the sector and attract more foreign investors. In fact, some economies pursued agricultural diversification by considering the export of high-value agricultural products such as horticulture and oilseed (ADB 2019). Export infrastructure must be supported by adequate transport, storage, and processing facilities to maximize farm and export earnings from high-value agricultural products.

Other examples of investment projects related to agricultural value chains are summarized in Table 4.5.

Table 4.5. Notable initiatives on agricultural value chains for regional investment

Name	Economies	Description
Agro-processing cluster	Tajikistan	This is intended as a hub for fruit processing and distribution.
Wheat production	Turkmenistan	For improved agribusiness climate.

Source: ADB Central Asia and Caucasus Investment Priorities survey result.

The CAC region sits at a strategic crossroad where agri-food value chains play a vital role, together with transport corridors, energy connectivity, and digital goods. Attracting more investments in the region to support these sectors can unlock greater economic development and growth. This positioning underscores the region's capacity to become a hub for strategic investments towards traditional and emerging sectors of connectivity.

5. Case Studies and Replicable Practices

With significant contributions from FICs, CAC economies are implementing a range of policy reforms and initiatives aimed at fostering investment growth. FICs have identified these successful measures in the Survey as examples with potential for replication across other CAC economies.

5.1 Armenia

Through public-private dialogue, Armenia's Investment Council (IC) led the development of the **Economy Modernization Act** which provided businesses with access to affordable financial resources to modernize production capacities and adopt new technologies. Specifically, the measure introduced subsidized loans enabling firms to acquire high-tech equipment, employ highly qualified specialists, and digitize business processes across diverse sectors including manufacturing, electricity, transportation, and construction among others.

IC Armenia also worked with key government stakeholders to develop regulations on **convertible debt**. This framework aided Armenia companies and tech start-ups in attracting investments using debt instruments (e.g., bonds) and the possibility of converting it to equity. Within 6 months of implementation, approximately \$35 million investment funds were raised. In further support of the economy's business sector, a regulatory framework on **Simplified Agreement for Future Equity (SAFE)** was adopted. Start-up companies were able to leverage SAFE contracts as financial tools to support initial stages of their development. This generated over \$ 25 million within 6 months.

5.2 Georgia

The Investment Agency of Georgia plays a pivotal role in driving the country's investment environment. In the sector of transport and trade facilitation, the Agency spearheaded the preparation of a feasibility study introducing **Contrailer (rolling highway) services**, which allow trucks to be transported via rail between key terminals in Georgia and Azerbaijan. The study concluded that this project could reduce transport time and costs while potentially increasing freight demand by 15-17% by 2030.

In addition, the Agency developed Georgia's first **gender lens investing (GLI) framework**, which formally established definitions for women-owned and women-led small and medium-sized enterprises (SMEs) within financial markets. This initiative addresses the absence of a regulator-approved standard and data infrastructure for women SMEs, thereby strengthening their visibility and access to finance.

Current **amendments to Georgia's Company Law Reform** – approved in 2021 – are likewise being tackled. These amendments target gaps in digital tools, cross-border reorganization, shareholder rights, and alignment with European Union standards. It is expected to benefit more than 280,000 active companies by enhancing corporate dispute resolution through clearer legal standards.

5.3 Kyrgyz Republic

In the Kyrgyz Republic, the Foreign Investors' Council operates under the National Investment Agency and serves as a platform for engagement between the government, foreign investors, business associations, and development partners. Recent initiatives have focused on improving its mechanisms for public-private dialogues by clarifying institutional roles, enhancing business participation, and aligning discussions more closely with investment climate reform priorities. In parallel, the Council promoted dialogue on **public-private partnership (PPP)** through cooperation with the PPP Center, raising awareness of PPPs as effective tools for investment growth in sectors such as infrastructure, social services, regional development, and green economy-related projects.

To complement these efforts, **Regional Investment Councils** have been established to foster dialogue between regional authorities, business associations, entrepreneurs, and national-level institutions. These councils have made regional investment issues more visible and provided local communities with structured channels to raise concerns on investment challenges.

5.4 Tajikistan

The government of Tajikistan recently hosted the **Dushanbe International Investment Forum** in October 2025 to showcase the country's green investment opportunities. Leading international investment firms joined the Forum and participated in substantive discussions with government representatives, international organizations, and financial institutions. During the Forum, the government presented Tajikistan's portfolio of Green Investment Opportunities and outlined proposals designed to accelerate the inflow of foreign direct investments into the economy. Relatedly, Tajikistan also enacted a new law "**On Capital and Promotion of Investment Activity**" which seeks to strengthen the investment climate. The legislation focuses on improving regulatory frameworks and creating more favorable conditions for both domestic and foreign investors.

5.5 Turkmenistan

Like Tajikistan, the Turkmen government – through the Turkmen Chamber of Commerce and Industry and the Union of Industrialists and Entrepreneurs of Turkmenistan – launched the **International Investment Forum** in 2025 as a platform for business-to-business (B2B) and business-to-government (B2G) linkages. The Forum brought together over 500 delegates from 25 countries, 40 international organizations, and over 360 companies. It also resulted in the signing of various framework agreements and business meetings.

Another recent achievement in the country was the enactment of a **new law on PPPs**. This legislation supports the government's target of using PPPs to advance Sustainable Development Goals and increase the GDP share of private sector.

5.6 Uzbekistan

The Foreign Investment Council of Uzbekistan has facilitated a series of initiatives to strengthen the country's legal and institutional frameworks for investment growth. During the Council's third plenary session, the draft law "**On Alternative Investment Funds**" was outlined, which incorporates internationally recognized investment tools such as venture and angel financing; limited partner/general partner (LP/GP) structures; convertible notes and SAFE agreements; capital-expenditure recognition; taxation of management costs; and currency regime.

The government also adopted **amendments to the Tax Code** aimed at reducing the effective tax cost on cross-border equity investments, streamlining documentation requirements for group financing, and aligning Uzbekistan's incentive architecture with OECD standards. These reforms seek to address persistent barriers for foreign investors, including double taxation, disproportionate tax compliance costs, and reliance on income-based tax holidays.

Finally, the Council developed a **national roadmap for implementing OECD Responsible Business Conduct standards**. The roadmap introduces these standards to Uzbek companies through a phased approach under the leadership of the Ministry of Investment, Industry and Trade. This development eliminates inter-agency ambiguity that had previously slowed implementation of business processes and establishes a clear framework aligned with international best practices.

6. Policy Recommendations for Regional Cooperation

The analysis presented in this paper, drawing on FDI data, regulatory indices, and survey findings from Foreign Investment Council (FIC), Uzbekistan across Central Asia and the Caucasus (CAC) economies, points to a set of interconnected constraints that no single economy can fully address in isolation. Realizing the CAC region's investment potential will require sustained cooperation across institutional, financial, and infrastructure dimensions. The following recommendations reflect the priorities most consistently identified across FIC survey findings and most directly supported by the analytical evidence.

6.1 Align investment regulatory frameworks across the region

Regulatory fragmentation remains one of the most persistent barriers to cross-border investment in the CAC region. As the analysis in Chapter 4 shows, investment laws, PPP contracting standards, business registration requirements, and licensing regimes differ substantially across economies, imposing compliance costs that fall disproportionately on investors operating in multiple markets. To address this CAC economies are required to collectively work toward common baseline standards - compatible definitions of investor rights and protections, mutual recognition of select certifications, and shared approaches to PPP contracting. Priority should be given to sectors where restrictiveness remains high relative to OECD and regional peers, including agriculture, real estate, and media, where foreign equity caps continue to limit the scope of potential investment. The OECD Responsible Business Conduct framework, already being

introduced in Uzbekistan, offers a practical model that neighboring economies could adapt. RAIC-CAC is well placed to support this process by facilitating peer review of investment climate reforms and maintaining a shared tracking mechanism for regulatory convergence.

6.2 Develop a credible, publicly accessible regional investment pipeline

One of the clearest messages from FIC survey is that the absence of a consolidated, investor-ready pipeline of cross-border projects represents a significant gap in the region's investment promotion capacity. Institutional and commercial investors alike require reliable market signals, project documentation, readiness assessments, regulatory status, and financing structures before making capital commitments. RAIC-CAC is positioned to address this gap by coordinating the development and annual publication of a regional investment pipeline covering priority cross-border opportunities in green energy, transport and logistics, digital connectivity, and agricultural value chains. For such a pipeline to be effective, it will need to differentiate projects by readiness tier - distinguishing those that are preparation-ready, financing-ready, and implementation-ready - so that concessional finance and technical assistance can be sequenced accordingly. A transparent, regularly updated pipeline would also serve as a signal of institutional capacity and reform commitment, strengthening the region's credibility with international investors.

6.3 Strengthen financial systems and broaden available financing instruments

Access to appropriate financing continues to constrain project bankability across the region, particularly for the large-scale, long-horizon investments required in energy and transport infrastructure. As Chapter 4.3 documents, commercial banking sectors in several CAC economies have contracted or remained shallow, collateral requirements are stringent, and alternative financing mechanisms, such as private equity, venture capital, green bonds are nascent and concentrated in a small number of markets. Several CAC economies have begun to address these gaps through legislative and regulatory reform. Armenia's frameworks for convertible debt and Simplified Agreements for Future Equity (SAFE) have already mobilized tens of millions of dollars for early-stage companies; Georgia's 2020 green bond issuance by JSC Georgia Global Utilities demonstrated the viability of sustainable debt instruments in the region. Uzbekistan is introducing alternative investment fund legislation that would enable venture and private equity structures aligned with international standards. These experiences offer replicable models. More broadly, CAC economies could explore common standards for cross-border bond issuance, coordinated blended finance facilities for priority regional projects, and reduced barriers to cross-listing.

6.4 Improve infrastructure and trade facilitation along the Middle Corridor

The Middle Corridor has emerged as a strategic freight route of growing global significance, with cargo volumes growing 2.5-fold since 2022 and demand projected to reach 11 million tonnes annually by 2030 (World Bank 2023). However, the corridor's competitiveness is constrained by operational inefficiencies that are largely within the power of CAC governments to address. Advancing the corridor's investment potential will depend on progress on two fronts. On the software side, this means coordinated adoption of digital trade facilitation measures - electronic data exchange, common transit documentation, pre-arrival risk processing, and single-window interoperability. On the hardware side, it means accelerating the financing and implementation of flagship infrastructure investments including the Anaklia Deep Sea Port, the China-Kyrgyzstan-Uzbekistan Railway, and the New Tashkent International Airport PPP. Special economic zones

and dry ports, when developed in alignment with corridor nodes, can serve as additional anchors for logistics-linked investment, as Uzbekistan's experience with its SEZ framework has begun to illustrate.

6.5 Invest in digital connectivity as foundational infrastructure

Digital investment in the CAC region, while growing, remains narrow in composition and uneven in distribution. As Chapter 2 shows, flows are concentrated in financial services and in a small number of markets, while foundational infrastructure — the fiber backbone, exchange points, and last-mile access networks that underpin a functional digital economy — has attracted comparatively limited attention. The most important near-term investment is a resilient regional fiber backbone that reduces dependence on single transit routes, using co-deployment alongside roads, railways, and power lines where design integration remains feasible. The Trans-Caspian fiber cable between Azerbaijan and Kazakhstan, targeted for completion in 2026, represents an important step toward diversifying the region's western connectivity gateway, but its full benefit will depend on open-access wholesale arrangements and terrestrial backhaul through Azerbaijan and Georgia. National and regional internet exchange points, carrier-neutral co-location facilities, and rural last-mile programs should follow as the next tier of investment. Digital trade facilitation - interoperable single windows, mutual recognition of electronic signatures, and harmonized data standards - represents the sector application with the most direct and measurable return on this infrastructure investment. ADB's Asia-Pacific Digital Highway initiative, which is expected to mobilize up to \$20 billion for digital corridors by 2035, offers a significant co-financing opportunity that the region's pipeline should be positioned to access.

6.6 Consolidate RAIC-CAC's role as a platform for investment policy coordination

The analysis throughout this paper points to a recurring coordination problem: individual economies face similar barriers, have access to similar reform models, and are pursuing similar infrastructure investments, but the absence of a shared institutional platform limits the region's ability to translate parallel national efforts into collective action. RAIC-CAC, as the region's first cross-national alliance of investment councils, represents a meaningful institutional innovation. Its effectiveness, however, will depend on whether its mandate is translated into concrete and sustained outputs. The most immediate priority is establishing RAIC-CAC as the custodian of a shared regional investment pipeline, updated annually and formatted for use by development finance institutions and international investors. Beyond this, the platform can contribute to investment climate reform by coordinating a regular scorecard of regulatory convergence across member economies, making it easier to identify where gaps are widest and where reform momentum exists. RAIC-CAC is also well positioned to facilitate the systematic sharing of policy experience among. In the longer term, a well-resourced RAIC-CAC secretariat could give the region a more coherent collective voice in dialogue with international investors and multilateral partners, complementing what individual economies can achieve on their own.

7. References

ADB. 2020. *FAST Report: Debt Investment and Administration of Debt Investment for the Georgia Global Utilities JSC Georgian Green Bond Project*.

ADB. 2021. *Expanding Agri-Trade in Central Asia through the Use of Electronic Certificates*. ADB Brief No. 184.

ADB. 2022. *CAREC Energy Outlook 2030*.

ADB. 2025. *Asia Small and Medium-Sized Enterprise Monitor 2025: Global Uncertainty Trade, and Private Sector Businesses in Asia and the Pacific*.

ADB. 2026a. *The Impact of the Middle East Conflict on Asia and the Pacific: An Updated Analysis*. ADB Briefs No. 388.

ADB. 2026b. *ADB Global Trade Finance Gap Survey*. ADB Brief No. 378.

Asian Development Bank (ADB). 2019. *Agriculture Development in the Central Asia Regional Cooperation Program Member Countries: Review of Trends, Challenges, and Opportunities*.

CAREC Institute. 2025. *Renewable Energy Investment Ecosystem in Central Asia*.

CASA-1000 Organization. (n.d.). *CASA-1000: Increasing clean energy availability and access in Central and South Asia*.

International Monetary Fund (IMF). *Financial Access Survey*. (accessed 24 May 2026).

International Renewable Energy Agency (IRENA). 2026. *Renewable energy statistics 2026*.

OECD. 2021. *Improving the Legal Environment for Business and Investment in Central Asia*.

OECD. 2025a. *Roadmap for Sustainable Investment Policy Reforms in Uzbekistan*.

OECD. 2025b. *Asia Capital Markets Report 2025*. OECD Capital Market Series. https://www.oecd.org/en/publications/asia-capital-markets-report-2025_02172cdc-en.html

OECD. *FDI Restrictiveness Index Scores*. (accessed 14 May 2026).

OECD. *FDI Restrictiveness Index Scores*. (accessed 14 May 2026).

Republic of Uzbekistan. 2020. *Resolution on additional measures for the widespread introduction of modern information and communication technologies in the tax administration*. <https://lex.uz/ru/docs/4844692#>

Submarine Cable Networks. (n.d.). *Black Sea Submarine Cable (BSSC)*.

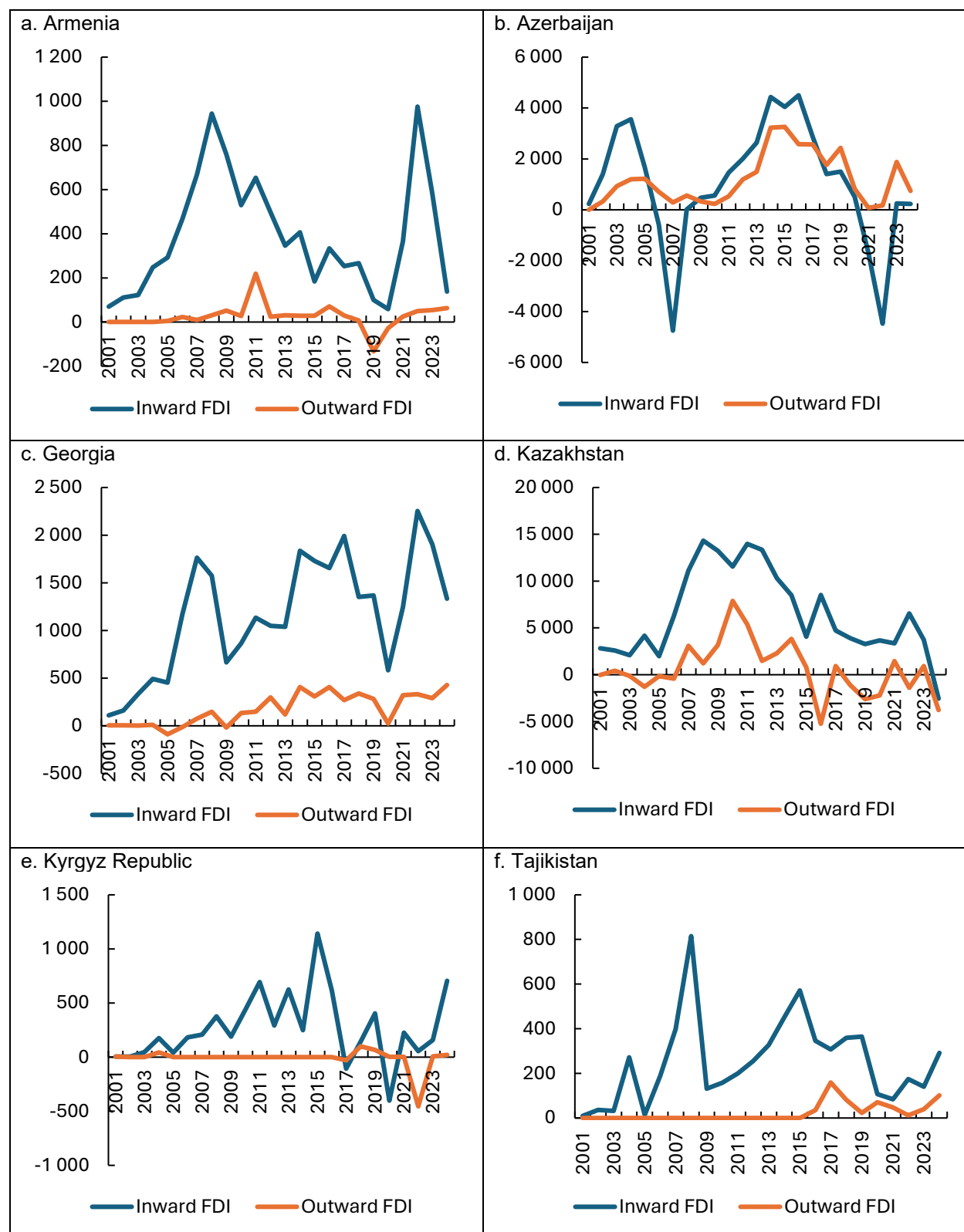
United Nations Economic Commission for Europe (UNECE). 2025. *Modelling a Resilient and Integrated Energy System for Central Asia: a Roadmap for Regional Interconnectivity*

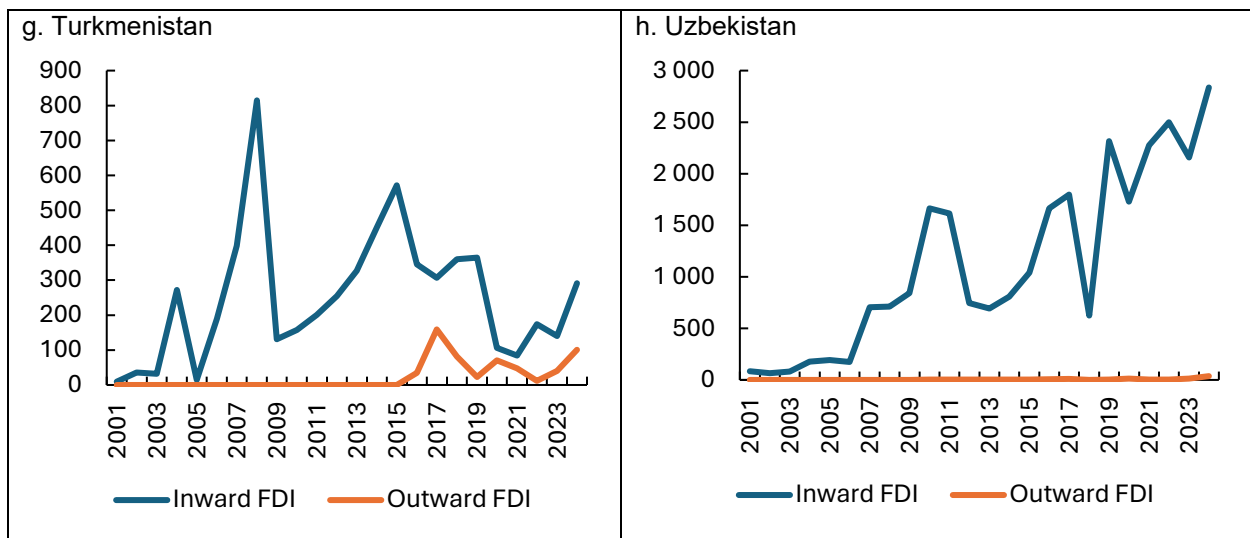
World Bank. 2019. *Tajikistan Country Economic Memorandum: Nurturing Tajikistan's Growth Potential*. <https://documents1.worldbank.org/curated/en/283081560956198220/pdf/Tajikistan-Country-Economic-Memorandum-Nurturing-Tajikistan-s-Growth-Potential.pdf>

World Bank. *B-READY Index*. (accessed 18 May 2026).

8. Annex

Figure A1. Total FDI Inflows and Outflows, by CAC Economy (in \$ million)





Source: ADB calculations using data from UN Trade and Development. World Investment Report 2025 Statistical Annex Tables. <https://unctad.org/topic/investment/world-investment-report> (accessed July 2025).

